After Liberalization: Belief Shock, Real Deindustrialization, and the Roots of Anti-globalization Politics

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Abstract

Why has globalization, especially free trade, become harder to sustain in its maturity than in its rise? I argue that a key driver is a belief shock among policy elites, whose support for trade openness depends on the fulfillment of their expectations about globalization's benefits. I examine a core expectation: sectors with perceived comparative advantage would thrive under free trade. Yet, comparative advantage predicts patterns of specialization without guaranteeing sustained competitiveness. As globalization matures, fragmented production, incomplete adjustment, and state-led policy choices can all erode incumbent advantages. The resulting *expectation mismatch* erodes elites' confidence in openness: trade no longer reads as legitimizing openness; elites reinterpret it as evidence of unfair competition, deindustrialization, and political unsustainability. I test this theory in the context of U.S. trade policy, with consistent support from historical trade-conflict cases, congressional speeches, and president's trade policy agendas. Protection concentrates in advantage sectors facing perceived threat, broadening as the threat turns systemic. Contemporary anti-globalization is not simply the politics of displaced losers, but of *threatened winners*, undermining the political foundations of trade openness. The paper offers broader implications for regime-level preference change and cooperation.

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1 Introduction

Why has globalization, especially free trade, become harder to sustain in its maturity than in its rise? Skepticism toward trade openness has intensified across countries and, in the United States, spread across party lines: Republicans who once defended liberalization now support broad tariffs and industrial policy, with Democrats converging on similar instruments. The European Union has imposed tariffs on Chinese electric vehicles,[1] while Mexico has raised duties to protect industries its development relied on.[2]

This is puzzling because elites, particularly in the U.S., once championed and played a central role in advancing globalization. President Clinton, for example, defended globalization as "a force of nature like wind or water" (Clinton 2000), while President George W. Bush praised free trade as "the greatest engine of prosperity the world has ever known" (Bush 2008).

Existing accounts of trade backlash primarily focus on constituent pressure, especially "loser politics"(Autor et al. 2020; Baccini and Weymouth 2021; Broz et al. 2021; Colantone and Stanig 2018). Work on trade attitudes explains who supports openness (Hiscox 2002; Hainmueller and Hiscox 2006; Mayda and Rodrik 2005; Scheve and Slaughter 2001). Yet these accounts offer less insight into the agency, timing, and scope of recent policy reversals: why policymakers themselves have initiated restrictions, and why major reversals arrived long after painful adjustments and moved toward abandoning free trade. Accounts of elite cue explain how trade skepticism spreads (Ballard-Rosa et al. 2024; Guisinger 2017), but not why elites revise their long-held positions. Security and strategic accounts explain why states restrict certain trade (Carnegie and Gaikwad 2022; Farrell and Newman 2019), which typically creates trade exceptions rather than internal contradictions.

The paper proposes an elite theory, shifting the focus from widely-studied constituencies to policy *elites*, who not only feel electorate pressure but also act on ideas and beliefs (Blyth

[1] European Commission, 2024
[2] Government of Mexico, 2023.

2002; Goldstein 1993; Hall 1993; Krasner 1978; Putnam 1988).[3] I argue that a key driver of the recent trade backlash is a belief shock among elites, whose support for openness depends on the fulfillment of their expectations about its benefits. When these expectations are contradicted, elites weaken their confidence in trade openness and reconsider policies they once championed.[4]

I examine a core expectation of trade liberalization: trade openness would reward a country's economic strength, or comparative advantages, while losing disadvantages is an expected cost. With intact confidence in market-driven reallocation, elites need not protect specific industries even if economically valuable, particularly given international trade commitments. In contrast, when elites infer that trade openness threatens perceived advantages, the resulting *expectation mismatch* erodes their confidence in openness. This can trigger top-down, sometimes preemptive protectionist reactions, which contrasts with loser politics and cannot be reduced to security and strategic concerns.

The argument rests on comparative advantage – the relative productive strength – a foundational concept in trade theories that has formed elites' expectations about trade openness (Baldwin 2016; Costinot et al. 2015; Samuelson 2004). Most trade(-politics) literature examines the liberalization period in which an economy moves from autarky toward a trade equilibrium – which I refer to as *during liberalization*. Elites expect that advantage sectors would expand, export, and sustain national competitiveness, while disadvantage sectors contract. Even trade distortions can be politically inert if they appear to speed up the process.

Often overlooked, however, comparative advantage is dynamic and can well erode (Krugman 1987; Rodríguez and Rodrik 1999). My theory builds on this possibility that leads to distinct political consequences. Comparative advantage specifies specialization under liberalization, not endured competitiveness. Contrasting with existing literature, I identify the

[3]By elites, I refer to those who make national policies as opposed to those who represent local interests, such as regional politicians and supply-chain managers.

[4]Trade openness here refers to the practice, rather than necessarily the free-trade ideal.

post-liberalization period, in which the initial reallocation has theoretically stabilized. Technological diffusion, incomplete adjustment, and state-backed policy choices can continue to erode sectors elites perceive as national advantage. An advanced economy such as the U.S. now risks genuine deindustrialization, and trade compensation that may otherwise work becomes less viable. This contradiction produces an expectation mismatch: trade distortions no longer appear politically ignorable, and elites update their belief, reinterpreting trade openness as a disappointment, or, as former National Security Advisor Jake Sullivan put it:

> "America's industrial base had been hollowed out ... The postulate that deep trade liberalization would help America *export* goods, not jobs and capacity, was a *promise made but not kept*." (Sullivan 2023)

Top elites such as Sullivan are largely insulated from constituent pressure and worry less about disadvantage sectors.[5] It is, after all, advantage sectors that are expected to export. Backlash, thus, is the politics of threatened advantages actively perceived by elites. Once confidence erodes, subsequent policies become unpredictable: outright protection – framed through electoral, geopolitical, or industry-support rhetoric – rather than the once-common managed transitions (e.g., trade adjustment assistance).

The argument yields a distinct prediction: contemporary, especially initially, protectionism should concentrate in sectors that combine elites' perceived national advantage with threats. Moreover, a bounded threat that implies an anomaly requiring correction leaves other advantage sectors still sustaining the overall confidence, so a government usually chooses targeted protection. A systemic threat, however, can generalize into a broader turn against free trade.

I test the argument on the United States. The U.S. has been the leader of the postwar trade regime. Until the early 2010s, mainstream debates on trade largely focused on disadvantaged sectors and labor-market adjustment (Acemoglu et al. 2016; Autor et al. 2013), shortly before China's ambitious push (e.g., "Made-in-China 2025" in 2015, hereafter

[5]Indeed, back in 2011, Sullivan praised free trade (Department of State 2011).

MIC2025) into advanced industries alarmed Washington. The main test is the 2018 Section 301 action, the unprecedented reversal in postwar American trade policy (Fajgelbaum et al. 2020). Exploiting the first two rounds of most discretionary tariffs by the USTR on over 4,100 HS-6 level products, I find strong support for the argument: targeting was substantially more likely (from single digit to over 35%) in broad sectors China had publicly identified for entry. Within those sectors, furthermore, targeting was 38% more likely for products in which the United States retained a durable comparative advantage – that is, expected advantages facing threat rather than the expected expansion (operationalizing expectation mismatch). The result holds across alternative measures, placebo tests, and tests of competing explanations that include security and geopolitical concerns, protecting losers, firm lobbying, and partisan politics, or supply-chain fragmentation.

Two further sources of evidence provide consistent support. First, two U.S. trade conflicts with Japan in the 1980s and with China after 2018 illustrates the mechanism across advantage and disadvantage sectors, and how the scope of economic threat shapes policy responses. Second, congressional speeches (1981-2024) reveal broader shifts in national elite discourse, from technical discussions and adjustments toward narratives of deindustrialization and unfairness, increasingly in reference to advantage sectors. Meanwhile, close reading of the USTR President's Trade Policy Agendas (2000-2026) traces how the executive's perceptions of competitive threats lead to policy changes.

The paper makes three contributions. First, it offers a novel elite-level temporal explanation for why free trade became surprisingly unsustainable. I bring comparative advantage to the analytical center by identifying the neglected "after-liberalization" politics, complementing conventional accounts centered on the distributional politics. Second, existing literature remains unclear about why elites suddenly revise their trade beliefs. Rather than treating elites' views as exogenous or deriving them from constituent preferences, I show when elites, especially the top ones, revise their preferences. This shift is consequential: when belief erodes, elites who once spearheaded globalization reverse policy, forcing supply chains, firms,

and trading partners to adjust. Lastly, unlike in the literature on distributional impacts and compensation (Margalit 2011; Kim and Pelc 2021; Magee 2001), domestic adjustment that hopes to buffer globalization shocks may not resolve this particular backlash. This paper points to a deeper crisis in the theoretical and political foundations of globalization that sustained key supporters' confidence.

The argument extends beyond advanced economies: Mexico and Indonesia have imposed safeguard duties where free trade had promised not only efficiency but a path to development and industrial upgrade.[6] This is particularly pronounced when service sectors are insufficient to offset industrial development.[7] More broadly, the argument offers implications for regime-level preference change and cooperation. Policy regimes that impose present costs for diffuse future gains, from security agreements to the liberal international order that is facing severe crises (Lake et al. 2021), are sustained by a similar expectation. They are weakened not necessarily by realized losses, but when expected benefits fail to materialize, eroding support.

2 What Existing Accounts Leave Unexplained

The politics of trade has well-developed accounts of who opposes openness and why. At the individual level, support tracks skill and factor endowments (Mayda and Rodrik 2005; Scheve and Slaughter 2001), education (Hainmueller and Hiscox 2006), and consumption (Baker 2005). Sociotropic accounts maintain that attitudes follow judgments about the national economy more closely than personal circumstances (Mansfield and Mutz 2009). At the aggregate level, import competition harmed employment in exposed regions and shifted local politics toward the extremes (Autor et al. 2020; Broz et al. 2021; Colantone and Stanig 2018).

The contemporary anti-free trade turn falls outside these accounts. First, recent restrictions were often initiated directly by policymakers rather than through industry petitioning,

[6] Indonesia Ministry of Finance, 2024.

[7] Goods exports were about 2.75 times services exports in 2025 (WTO), and most post-China shock service expansion occurred in lower-value sectors (Autor et al. 2025).

indicating that elites were not simply passive recipients of protectionist pressure. Skepticism toward trade openness among the public is at a low level (Kafura and Dong 2025). The second is about timing. Existing studies explain the politics of initial liberalization when displacement occurs, but they struggle to explain why the broad anti-free-trade turn emerged much later. Even for those arguing that governments are constrained to respond (Goldstein and Mansfield 2026; Schneider and Thomson 2023), it is unclear why free trade itself becomes politically unsustainable.

Two further strands of literature bear on the question without settling it. Work on elite cues shows that mass opinion responds to elite and media framing (Ballard-Rosa et al. 2024; Guisinger 2017). Yet the revision is what requires explanation. Work on economic security and strategic competition explains why states restrict particular sectors (Carnegie and Gaikwad 2022; Farrell and Newman 2019). Yet governments may block the trade of a sensitive product while continuing to hold that broad trade can serve its interests (Grinberg 2021).

3 An Elite Theory of Trade Backlash

I develop the theory mainly in the context of the United States although it is generalizable to other contexts. The theory focuses on policy elites for two reasons. First, they possess more information about global trade and the national economy than the public, and they are responsible for national economic outcomes. Second, they manage national policy instruments. Although a long tradition treats trade policy as the aggregation of societal interests (Rogowski 1989; Grossman and Helpman 1994; Hiscox 2002), elites' ideas and beliefs often exert decisive influence on foreign economic policy (Blyth 2002; Davis 2023; Hall 1993; Goldstein and Keohane 1993; Goldstein 1993). Ideas of free trade, reciprocity, or economic nationalism have repeatedly shaped elite positions, at times against material incentives and constituencies (Bailey et al. 1997; Chorev 2007; Irwin 2017).

3.1 Trade Liberalization and Elite Expectation

Existing accounts attribute elite support for trade openness to economic ideas, liberal ideology, democratization, and material gains (Gilligan 1997; Goldstein 1993; Milner and Kubota 2005; Pastor and Wise 1994; Weymouth and Macpherson 2012). At the core, the idea of "comparative advantage" is the canonical answer to why nations trade (Costinot et al. 2015), because trade raises welfare through specialization (Ricardo 1817). Mainstream economists have called it the "most beautiful result in the field" (Findlay 1987), an "unassailable intellectual cornerstone" (Harrigan 2003), and the "one proposition in social science that is both true and non-trivial" (Samuelson 1972).

U.S. elites formed a variety of expectations regarding globalization, the most salient of which was comparative advantage, which has been at the "heart of support" for globalization (Baldwin 2016) and has deeply influenced liberalization policy and elites' pro-trade sentiment (Congressional Research Service 2021; Samuelson 1972; Williamson 1990). It concerned not only welfare and efficiency but also national economic competitiveness (Helleiner 2002; Krasner 1976). The 1998 *Economic Report of President Clinton* described American comparative advantage in skill-intensive sectors well positioned to gain from liberalization, with "good" jobs in exporting sectors replacing inefficient plants (CEA 1998). The case for China's WTO accession partly rested on a similar belief: American exports justify import competition (USTR 2000).

Most trade(-politics) literature builds on the period in which an economy moves from autarky toward trade equilibrium, generating distributional effects – which I refer to as *during liberalization* (Rogowski 1989; Hiscox 2001; Scheve and Slaughter 2001; Margalit 2011; Kim 2017; Broz et al. 2020). In this period, reallocation mainly displaces disadvantage sectors (theoretically and empirically). Trade appears complementary because the displacement is the necessary cost, which sustains the expectation. Even trade distortions are often politically *inert*, because they appear to speed up reallocation. The usual political response is "managed transitions," such as Trade Adjustment Assistance (TAA) or antidumping and

countervailing duties (AD/CVD) to cushion adjustment costs.

U.S. elites expect that free trade would reward comparative-advantage sectors, which are often technologically sophisticated and productive (including services). Yet, this is not reducible to advanced sectors: when the confidence holds, elites may accept their contraction as consistent with efficient reallocation driven by *market* forces. The historical decline in advanced sectors not understood as U.S. advantages (e.g., passenger rail to Japan, commercial shipbuilding to Korea, or semiconductor lithography to the Netherlands) generated limited backlash.

In fact, quite a few U.S. elites prioritized market-driven efficiency that automatically strengthens national competitiveness, without ex ante privileging particular sectors. This is exemplified by presidential economic advisors Michael Boskin (under Bush) and Christina Romer (under Obama), who were respectively associated with the view of no preference for "computer over potato chips" or "manufacturing over haircuts" (Atkinson 2022).

Although modern trade involves heterogeneous firms (Melitz 2003) and fragmented production (Grossman and Rossi-Hansberg 2008), comparative advantage continues to shape specialization across sectors and value-chain tasks (Krugman and Obstfeld 2009). Crucially, my theory builds on elites' expectations, rather than on actual specific trade patterns, which may in fact blur traditional lines of comparative advantage (Baldwin 2016), reinforcing the mismatch.[8]

3.2 From Expectation Mismatch to Confidence Erosion

Comparative advantage, however, specifies how specialization under liberalization forms rather than how long the specialization lasts. Indeed, the long-run effect of trade openness is itself debated (Garrett 2000; Krugman 1987; Lawrence and Weinstein 1999; Rodríguez and Rodrik 1999). Its realization depends on assumptions such as balanced trade and minimal friction, which do not always hold. After trade reallocation has stabilized, incomplete ad-

[8]For example, U.S. elites may expect advantages in smartphone design rather than assembly.

justment, policy choices, external shocks, or fragmented global value chains can all move a country's advantage away from what its underlying conditions would imply (Baldwin 2016; Krugman 1987; Rodríguez and Rodrik 1999). This possibility underpins the paper's argument.

As opposed to "during liberalization" in existing literature, theoretically, I define *after liberalization* as the period after the initial reallocation has stabilized, while competitive pressures continue to reshape incumbent advantages. This period is uncertain partly because existing literature offers little insight into the subsequent politics.[9] Empirically, U.S. legislators in the 1990s could plausibly anticipate where Chinese imports would hit, but this became much harder as China later moved beyond labor-intensive sectors (Bombardini et al. 2023). Economically, erosion in advantage sectors can permanently reduce real income (Samuelson 2004) and long-run welfare (Krugman 1987).[10]

When sectors expected to win are threatened, it creates an *expectation mismatch*: the outcome appears inconsistent with the belief that openness would reinforce national competitiveness. Studies find that violated expectation serves as an information shock that often leads to belief update and confidence erosion in the status quo (Hirschman 1982; Legro 2000). As such, elites' confidence in trade openness weakens. When this happens, once-tolerated distortions can become politically volatile, as in the ongoing "second China shock."

Table 1 presents statements by senior officials overseeing trade, commerce, finance, and national security across both parties. In contrast to the strong confidence of Bush and Clinton quoted in the introduction, it provides direct evidence that, despite partisan divergence, elites' weakened confidence in the postwar free-trade regime is visible. These appointed elites who were relatively unpressured by local constituents may not spell out "comparative advantage," but many concerns center on not merely industrial decline, but the erosion of industries perceived as foundations of national competitiveness. They are consistent with

[9]Even the dynamic comparative advantage literature (e.g., Krugman (1987)) is implicit about the period, with no role for political implications.

[10]Appendix Figure 7 illustrates how losing advantage sectors can lower a country's production levels. Then, trade can become self-defeating rather than efficiency-enhancing.

an expectation mismatch in which openness threatens the very economic strength it is expected to reinforce. Even among traditionally labor-oriented Democrats, elites increasingly emphasize the protection of key U.S. industries.

Table 1: Cross-Partisan Elites' Weakened Confidence in Trade Openness

Role	**Democratic**	**Republican**
Trade	**Katherine Tai**, USTR: "*When efficiency and low cost are the only motivators [in trade], production moves outside our borders.*" (Tai 2023)	**Robert Lighthizer**, USTR: "*Policymakers, business leaders, economists... need to abandon the dogma of trade from 18th-century philosophers...*" (Lighthizer 2021)
Foreign	**Jake Sullivan**, National Security Advisor: "*In the name of oversimplified market efficiency, entire supply chains–along with the industries and jobs that made them–moved overseas... The traditional model doesn't cut it.*" (Sullivan 2023)	**Marco Rubio**, Secretary of State/National Security Advisor: "*An almost religious commitment to free and unfettered trade at the expense of our national economy... collapsed industrial capacity.*" (Rubio 2025)
Commerce	**Gina Raimondo**, Sec. of Commerce: "*Ensure unfair trade practices do not threaten our competitiveness... trade policy that will help protect key U.S. industries*" (Raimondo 2024)	**Howard Lutnick**, Sec. of Commerce: "*that the old globalist line of thinking has been a disaster for America*" (Lutnick 2026)
Treasury	**Janet Yellen**, Sec. of Treasury: "*Friendshoring is our approach to advancing trade that is free and fair*" (Yellen 2022)	**Scott Bessent**, Sec. of Treasury: "*[in trade] low prices would compensate for lost capacity... those assumptions failed to materialize.*" (Bessent 2026)

While elites' rhetoric may reflect strategic or political motivations, the rhetorical persistence after they leave office, their convergence across departments and partisanship, and corresponding shifts in policy provide suggestive evidence of underlying confidence erosion.

President Obama provides an illustration of within-individual shifts. In his 2011 address to Congress, he advocated "clearing the way" for trade agreements alongside assisting import-affected workers (Obama 2011), and he invoked "where we've got the greatest comparative advantage" to justify trade liberalization (Obama 2013).[11] Despite emerging

[11] Although Obama opposed Jennifer Hillman's WTO Appellate Body reappointment in 2011, it reflects political concerns rather than trade openness.

concerns about foreign distortions hurting workers and U.S. firms abroad, Obama's policy response emphasized WTO disputes and more enforceable trade agreements, including negotiating the Trans-Pacific Partnership (TPP). A potential turning point was China's "Made-in-China 2025 (MIC2025)" in 2015, an industrial policy targeting advanced sectors where the U.S. held advantages. In 2016, Obama's USTR had begun criticizing MIC2025 (USTR 2016). Meanwhile, Obama, though not turning protectionist, pushed Congress to finalize the higher-standard (but more exclusive) TPP to ensure "globalization not working against us," emphasizing protecting American innovation and intellectual property and "holding trading partners accountable" (Obama 2016).

The subsequent policy shift was more pronounced: shortly after, USTR Robert Lighthizer explicitly framed Section 301 tariffs as defending America's "critical *comparative* advantage" (USTR 2018b), while the Biden administration retained most measures and dramatically increased tariffs on key sectors.[12] . Biden's 2024 Economic Report straightforwardly questions comparative advantage:

> "The classical Ricardian trade model that the concept of comparative advantage . . . is based on several assumptions that may not hold in the real world." (CEA 2024, p. 207)

3.3 Observable Implication

Overall, when observing an expectation mismatch, U.S. elites updated their beliefs, eroding their confidence in trade openness. With confidence intact, protecting (even advanced) sectors entails substantial costs: internal inconsistency, efficiency losses, retaliation from others, potential challenges under global trade rules, and reputational damage. In contrast, when confidence erodes, elites become less inclined to view threatened advantaged sectors as an efficiency-enhancing outcome and are more justified in intervening.

[12]For example, tariffs on semiconductors and solar panels rose from 25% to 50%, with electric vehicles increasing from 25% to 100%

Expectation mismatch shapes the political response in three ways. First, it concerns policy targets. Actors evaluate outcomes relative to expectations rather than in absolute terms (Alesina and Passarelli 2019; Kahneman and Tversky 1979; Tversky and Kahneman 1991), assigning greater weight to losses relative to expectations than to equivalent gains (Kőszegi and Rabin 2006). The decline of a disadvantage sector consistent with expectations does not count as a loss, whereas the erosion of an expected winning sector does. Consequently, threatened advantage sectors should be more likely the protection target than injured disadvantaged ones.

Second, expectation mismatch shapes policy *intensity*. Elites accept the costs of trade openness as long as they believe the gains justify those costs (Keohane 1984; Koremenos et al. 2001). When advantage sectors are subsequently threatened, the combination of unmet promises and realized costs is what gives the reaction its moral charge – a sense of unfairness beyond mere disappointment. This increases the likelihood of more confrontational trade policies.

Lastly, expectation mismatch relates to policy *durability* by removing the basis for accepting future losess. Once expectation is violated, elites can no longer appeal to the unmet promise to defend further openness. That accounts for the escalation spreading to deals that may be less relevant to the original backlash. The Trump administration's withdrawal from the TPP, with its tariffs enhanced by the opposite party, is what an unmet promise produces and what a constituent grievance does not.

Therefore, the central prediction is that expectation mismatch, arising in the *after-equilibrium* period in particular, should lead to protection that disproportionately concentrates in advantage sectors facing threats (**H1: threatened winner**).[13] Figure 1 contrasts the predicted patterns of protection across two trade periods.

[13]Existing trade institutions such as the WTO may constrain the effect magnitude but should not alter the directional prediction. Moreover, elites may need time to confirm perceived mismatch. For example, Chinese entry into telecommunications and solar was visible by 2010 and drew only narrow antidumping cases.

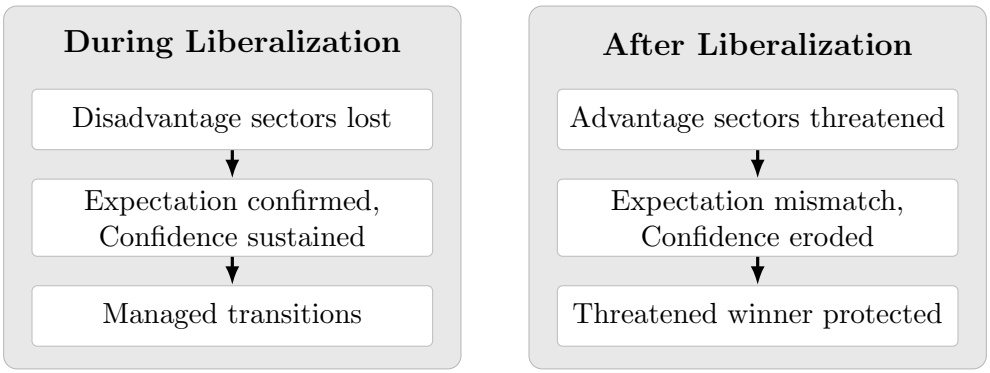


Figure 1: Distinct Predictions of Two Periods of Trade Shocks

Note that the breadth of the response depends on the scope of the threat. Threats confined to a few sectors leaves the expectation intact elsewhere, whereas a systemic threat across many advantage sectors may undermine openness belief more generally. Section 4 illustrates this distinction through the U.S. trade conflicts with Japan and China.

Table 2: Major Explanations of Trade Backlash and Their Predictions

Theory	**Level**	**Mechanism / trigger**	**Predicted response**
Distributional loss	Constituent	Import competition harms disadvantaged sectors	Managed transition (*e.g., 1st China shock*)
Endogenous protection	Constituent	Interest groups mobilize and lobby	Sectoral rents (*e.g., Harley-Davidson's 1982 petition*)
Sociotropic	Public	Trade is perceived to harm aggregate or national welfare	Welfare-focused correction (*e.g., support for compensation*)
Security/geopolitical	Elite	Trade undermines security or shifts relative power	Strategic/security exceptions (*e.g., defense/food protection*)
Expectation mismatch	**Elite**	**Trade violates prior expectations by threatening perceived advantages**	**Confidence erosion, advantage protection (*e.g., 2nd China shock*)**

Theory comparison. The expectation-mismatch theory built on the economic rationale makes predictions distinct from competing theories, because belief erosion requires a violated expectation. As summarized in Table 2, distributional harm to disadvantage sectors usually results in managed-transition instruments. Moreover, although Trump benefited electorally

from trade-affected communities, his trade agenda retained substantial elite agency, focusing on industrial capacity, technology transfer, and trade imbalances. Policymakers may also intervene to address externalities or support infant industries without undermining their broader commitment to free trade.

Moreover, elites can protect sectors on security or geopolitcal grounds. However, these sectors usually create exceptions to free trade rather than broad confidence erosion. European policymakers, for instance, remain committed to trade openness while protecting food sectors, yet have become more increasingly skeptical when foreign competition starts threatening automobiles perceived as a European advantage (European Commission 2023). As explained above, elites who believe in market-driven efficiency are unlikely to protect disadvantaged sectors solely for their technological sophistication or economic importance, particularly given existing trade rules. The empirical analysis further examines whether threatened winners matter, accounting for other factors.

Finally, the empirical prediction rests on several assumptions: backlash is less likely when comparable new advantages visibly emerge, since the expectation is met in aggregate. It is less likely to produce protection where the state lacks the means to respond due to, for example, dependence on the competitor. Backlash is weaker in sectors elites do not associate with expected national economic strength, such as certain agricultural and material commodities.

4 Illustrative Cases: Two Historical Trade Wars

I first illustrate the plausibility of the mechanism that expectation mismatch translates into the protection of perceived advantage using two historical cases. The United States fought two intensive trade conflicts: one with Japan in the 1980s and one with China from 2018 onward. The U.S.-Japan case reflects a largely sectoral version of the argument, while the U.S.-China case reflects a more systemic version.

The two episodes approximately match the "after-liberalization" period.[14] Japan's liberalization took place within the postwar Western bloc and roughly reached equilibrium once Japan closed the gap in U.S. disadvantage sectors in the 1970s. China's liberalization took place within the expanded post-Cold War trade system, and roughly reached equilibrium not long after a commonly used endpoint in the "China shock" literature (Autor et al. 2013).

U.S.-Japan: bounded threat and targeted protection

Japan's rise in the 1980s threatened American producers across several sectors: textiles, consumer electronics, steel, shipbuilding, automobiles, semiconductors, and precision machinery among them. Contemporary accounts emphasize that U.S. complaints focused on Japan's industrial policy, market access barriers, and exchange-rate practices, but the conflict remained concentrated in specific sectors rather than generalized across the economy (Prestowitz 1988; Tyson 1992).

In a 1986 White House briefing amid the heated trade war, President Reagan, a neoliberal advocate, described comparative advantage as "so widely accepted and clearly understood" forming the primary principle of his trade policy (Reagan 1986b). He rejected protection of "import-sensitive" sectors. Yet, he immediately vowed to *correct* unfair practices hurting certain industries (e.g., semiconductors) so that "America comes out of the competition a winner" (ibid). This suggests that, despite Reagan's adherence to free trade as an ideal, his confidence in the status quo openness weakened. This shift was driven not by security or strategic concerns; Japan was the closest Cold-War ally after all. It was the economic rationale: threats to advantageous sectors he believed could win under *genuine* free trade. Consequently, threatened winners justify intervention.

The United States primarily defended advantage sectors. Textiles, consumer electronics, and shipbuilding, widely considered comparative disadvantaged, received managed transitions at most (Borrus et al. 1986; Irwin 1996). Textile imports had been under quota since

[14] See Figure 9 for U.S. import penetration by Japan and China over time.

the Multi-Fiber Arrangement of 1974, a restraint that buffered adjustment (USITC 1981). Shipbuilding, an industry understood as labor-intensive even with strategic/security implications for naval capabilities and power, lost its commercial sector almost entirely throughout the decade, and Reagan's response was to cut the subsidies (Reagan 1986a). Most consumer electronics assembly received no policy assistance.

In contrast, automobiles, with fewer security or strategic other than economic rationales, received more sustained defense: voluntary export restraints (VER) limited Japanese shipments from 1981 to 1994 and explicitly gave the U.S. industry time to restore its competitive position, unlike the managed decline of textiles (Feenstra 1988). Semiconductors received a comparable defense: the 1986 Semiconductor Arrangement restricted Japanese pricing and guaranteed American producers a fixed share of the Japanese market, and it targeted dumping specifically in memory chips, the segment where Japanese competition was most acute (Irwin 1996; Borrus, Tyson, and Zysman 1986; Reagan 1986a). Machine tools, with security implications, received a more aggressive instrument – a 1986 voluntary restraint agreement covering Japan and Taiwan, partly pursued under Section 232 on national-security grounds (U.S. Congress 1987).

The comparison of steel and automobiles reveals elites' agency. When steel producers petitioned for import relief (tariffs/quotas) in 1984, the U.S. International Trade Commission (USITC) recommended it under Section 201's injury standard. Despite eventually negotiating voluntary restraint agreements paired with an adjustment program, Reagan rejected that recommendation, judging import relief not to be of national economic interest (Reagan 1984). In contrast, for automobiles, although the USITC determined that imports were not a substantial cause of injury, the Reagan administration nevertheless pressed Japan for a VER (USITC 1980).

The semiconductor case explicitly supports the theory once disaggregated. Semiconductors had been viewed as one U.S. advantage since World War II, with substantial economic and strategic value, but was being eroded by Japan through "a conscious national strategy

of establishing comparative advantage"(Congressional Record 1982). But U.S. policy did not attempt to preserve every segment. Intel among other U.S.-based firms exited commodity DRAM (dynamic random-access memory) production, ceding it to Japanese and later Korean producers, and redirected its capacity to microprocessors, then described as a deliberate move toward the chip design segment with higher relative margins (Grove 1996; Macher et al. 1998). What the 1986 U.S.-Japan Semiconductor Agreement protected was market access and pricing discipline for the industry as a whole, which benefited the higher-valued, differentiated segment like design; it did not, however, constitute a policy of restoring U.S. advantage in DRAM manufacturing.

Crucially, although fears of "Japan Inc." were salient, the threat did not appear to span the full range of advanced U.S. industries, while staying within localized correction (Friedman 1988; Vogel 1996). The U.S. expanded its commitment to the trade regime once the Japan disputes were settled. The North American Free Trade Agreement took effect in 1994, the same year the last of the auto VERs expired. The Uruguay Round Agreements Act, creating the WTO, took effect one year later.

U.S.-China: systemic threat and broad-based backlash

China's sheer economic size and its systematic state-backed industrial upgrading appeared not as isolated competition in a few sectors, but as a broad movement across a wide range of industrial and technological domains. Under those conditions, policymakers increasingly interpreted free trade as a general threat to hollow out the industrial base.

In the 2000s, China's WTO accession generated large import shocks in labor-intensive manufacturing sectors, primarily interpreted through a conventional adjustment lens (Autor et al. 2013). By the 2010s, however, U.S. policymakers increasingly framed China's trajectory as broad-based industrial upgrading, supported by state policy, technology acquisition, and agglomerating global value chains.

The U.S.-China trade conflict since 2018 showed what seemed like the same selective logic

at the outset, then broke from Japan's pattern in scope. Official U.S. assessments emphasized that Chinese industrial strategy targeted many high-value sectors simultaneously (USTR 2018a). The issue was no longer confined to isolated sectors; it was that the sectors expected to anchor U.S. advantage were themselves being challenged across the board. Section 301 Lists 1 and 2 targeted products in Made in China 2025-designated chapters specifically, until approximately two-thirds of U.S. imports from China carried additional tariffs.

The tariffs also survived party change. The Biden administration inherited the Trump tariffs, and the instrument itself widened as the conflict continued: from tariffs, to export controls on semiconductors and the equipment that produces them in 2022 (BIS 2022), to restrictions on outbound investment in 2023 (The White House 2023), to domestic industrial policies under the CHIPS Act and the IRA aimed at rebuilding lost capacity. Protection for a specific list of advantage sectors became, within several years, a bipartisan reorientation of the trade relationship that neither party has since reversed.

By 2025, this logic moved beyond China entirely. The second Trump administration imposed near-universal tariffs on most U.S. trading partners under emergency economic powers (IEEPA). When the Supreme Court ruled that authority invalid in February 2026, the administration replaced it within the same day using a different statute rather than abandoning the policy. What began as a bounded response to a specific competitor had become, within seven years, a general position that trade should not be broadly open.

5 Statistical Analysis

5.1 Research Design

While case studies provide process-tracing evidence for the argument, this section systematically tests the central observable implication that protection concentrates in threatened winners. I choose the United States, a frequent testing ground in the protection literature (Kim 2017), for two reasons: the U.S. has exhibited a clear bipartisan reversal in elite trade

attitudes. It is also the case in which the theory should be harder to sustain, since the United States is the architect of the postwar trade regime.

Data and Sample

As late as the early 2010s, both scholarly and policy debates centered largely on the adjustment costs of trade (Acemoglu et al. 2016; Autor et al. 2013). However, by the middle of the decade, Washington's concern across both the Obama and Trump administrations had increasingly evolved, alarmed by Chinese industrial policies such as MIC2025 that targeted U.S. advantage sectors (USTR 2016; USTR 2018a).

Unlike constituency-based TAA or antidumping duties, the 2018 Section 301 action represents a clean test. It was not only the unprecedented reversal in postwar American trade policy (Fajgelbaum et al. 2020) retained by the Biden administration, but also a clear top-down process, primarily justified by the economic rationale that "China's stated intention of seizing economic leadership" puts "the future of the U.S. economy at risk" (USTR 2018b; USTR 2018c). Explicitly, U.S. Trade Representative Robert Lighthizer portrayed Chinese practices as an "existential threat to America's most critical *comparative advantage*" (ibid).

Elites' agency was evident: List 1 ($34 billion) and List 2 ($16 billion) were compiled through an"extensive interagency economic analysis" anchored to the Section 301 investigation report, working downward from ten MIC2025-designated broad categories to specific HTS-8 tariff lines via deliberate, product-specific selection (USTR 2018c). In fact, the total $50 billion comes from USTR's calculated harm caused by China's practices (ibid). Importantly, it was not bottom-up protection seeking: although the USTR opened an exclusion process shortly after, most requests were denied solely based on USTR's discretion.[15] The following List 3/4 ($200 and $300 billion respectively), by contrast, expanded coverage sharply in response to a broader tit-for-tat escalation, including many consumer products.

[15]The USTR evaluates exclusion requests case by case, considering: (1) availability from non-Chinese sources, (2) importer attempts to source the product from outside of China, (3) severe economic harm to the importer or other U.S. interests, and (4) the strategic importance to "MIC2025" or other Chinese industrial programs (Congressional Research Service 2020).

The analysis proceeds at the six-digit Harmonized System (HS) 6-digit products, the finest classification at which consistent bilateral trade data are available. The sample is confined to manufacturing HS chapters 28 through 96, excluding agriculture (chapters 01-24), mineral fuels (chapter 27), and other primary commodities.[16] Trade-flow data come from the BACI trade database at the HS-6 level (Gaulier and Zignago 2010a). I restrict the sample to products with non-missing BACI coverage and a valid concordance conversion to the tariff lists below.

Dependent Variable

The dependent variable, $Targeted_k$, is a binary indicator equal to one if HS-6 product k was included on Lists 1 and 2, and zero otherwise. List content is drawn from the USTR Federal Register notices, which enumerate targeted product at the 8-digit HTS level. Within manufacturing, approximately 4,000 eligible lines existed, of which roughly 1,300 were affirmatively selected. I map each HTS-8 code to its first six digits and construct a concordance from the HS-2017 revision to the HS-1992 revision used by BACI.[17]

Key Independent Variables

Expectation mismatch. I operationalize expectation mismatch through "threatened winners": a threat at t to a sector that elites expected to win at $t-1$. I measure it through two parts which are then interacted: elite-perceived comparative advantage sectors combined with the threats they face (advantage sector × perceived threat).

Advantage sector. As elites' perceived comparative advantages are not directly observable, I build on revealed comparative advantage (RCA) as a proxy that policymakers could tangibly perceive the performance under continued openness. The central independent vari-

[16] Besides identification considerations, restricting to manufacturing follows from the theory: elites tied the promise of trade to perceived industrial strength.

[17] USTR 2018 HTS codes are in HS-2017 space. HS-1992 is used for calculating the comparative advantage spanning 2001 to 2007 (see below).

able, $StableCA_k$ builds on RCA, capturing whether product k (at least) holds ground during the 2001-2007 first China shock, which serves as a stress test (Autor et al. 2013; Pierce and Schott 2016). Products that collapsed before 2007 are revealed as genuinely disadvantageous (e.g., textiles, furniture) and never formed the durable expectation the theory requires.

$StableCA_k$ is constructed based on the RCA index in Balassa (1965):

$$\text{RCA}_{k,t} = \frac{X_{\text{US},k,t} \,/\, X_{\text{US},t}}{X_{W,k,t} \,/\, X_{W,t}}, \tag{1}$$

where $X_{\text{US},k,t}$ denotes total US exports of product k in year t, $X_{\text{US},t}$ total US manufacturing exports, $X_{W,k,t}$ world exports of product k, and $X_{W,t}$ total world manufacturing exports. RCA above 1 indicates that the share of product k's exports of total U.S. exports is higher than the world average, the conventional threshold (Balassa 1965; Leromain and Orefice 2014).[18] I compute U.S. annual $\text{RCA}_{k,t}$ for each HS-6 product over 2001-2007 using the BACI data.

Then I construct the measure StableCA_k, which is coded one if the mean RCA over 2001-2007 exceeds one and where the within-period change, $RCA_{2007} - RCA_{2001}$, is no less than -0.10:

$$\text{StableCA}_k = \mathbf{1}\left[\frac{1}{7}\sum_{t=2001}^{2007} \text{RCA}_{k,t} > 1 \;\text{ and }\; \text{RCA}_{k,2007} - \text{RCA}_{k,2001} \geq -0.1\right], \tag{2}$$

(2) presumes that a product is unlikely to hold a durable advantage if its RCA averages below one during the shock, or drops sharply even when it still remains above one. Although policymakers are unlikely to calculate this measure themselves, it is best understood as a proxy for their underlying sense of U.S. industrial strengths. The USTR, tasked with formulating trade policy, routinely "monitors industry and trade developments" (USTR 2014). Although 2001-2007 may be a better historical period for the formation of advantage perception, StableCA is reconstructed over 2001-2016, in case an advantage naturally evolves as the economic structure changes. Additionally, I use coarser HS-4 sectors and employ

[18] I also use RSCA (Revealed Symmetric Comparative Advantage, Laursen) and NRCA (Normalized Revealed Comparative Advantage) as robustness checks.

different within-period RCA changes of −0.05 and −0.20.

Table 3 lists examples from StableCA and non-StableCA groups sorted by mean U.S. export value (2001-2007), showing strong face validity. StableCA products include aircraft, automobiles, semiconductors, and industrial machinery. Products that are non-StableCA include apparel, furniture, lumber, and steel.

Table 3: Examples of StableCA and Non-StableCA HS-6 Products

HS-6	Product	RCA 2001	RCA 2007	Mean RCA	List 1/2	Exp. ($bn)
Stable advantage (seven largest by exports)						
880240	Aircraft, unladen weight > 15,000 kg	3.15	4.22	3.75	Yes	29.1
880330	Parts of aeroplanes and helicopters	3.06	3.55	3.05	Yes	12.2
870324	Passenger cars, engine > 3,000 cc	0.89	1.31	1.06	Yes	11.9
854219	Integrated circuits, non-digital	1.55	1.49	1.44	No	9.5
841191	Parts of turbojets and turbopropellers	2.79	3.95	3.12	Yes	7.6
847989	Industrial machinery with individual functions, n.e.s.	1.69	2.05	1.67	Yes	6.2
901890	Medical and surgical instruments, n.e.s.	2.24	2.74	2.44	Yes	5.4
No advantage (seven largest by exports)						
852810	Colour television receivers	0.37	0.24	0.29	No	1.6
440710	Sawn coniferous lumber	0.28	0.27	0.26	No	0.6
852110	Magnetic-tape video recorders	0.17	0.46	0.24	Yes	0.5
940360	Wooden furniture, n.e.s.	0.24	0.27	0.24	No	0.4
870332	Diesel cars, 1,500-2,500 cc	0.03	0.10	0.04	Yes	0.4
721049	Galvanized flat-rolled steel, n.e.s.	0.30	0.31	0.28	No	0.4
620342	Men's cotton trousers	0.29	0.09	0.18	No	0.3

Perceived threat. The official MIC2025-designated ten industries serve as a proxy for perceived threats, where China signaled its ambition to enter. The USTR explicitly named the Chinese program with tariffs "generally focused on" MIC2025-designated industries (USTR 2018d). As such, the variable $MIC2025_i$ equals one if product i belongs to one of eight broad HS-2 chapters that map to MIC2025 in its own terms: pharmaceuticals (mapped to HS 30), numerically controlled machinery and robotics (HS 84), next-generation information technology and semiconductors (HS 85), advanced rail equipment (HS 86), new-energy vehicles (HS 87), aerospace equipment (HS 88), ocean engineering and high-technology ships (HS 89), and bio-pharmaceutical instruments and medical devices (HS 90).[19] The empirical strategy exploits variation in StableCA within each MIC2025 sector.

[19]Chemicals and materials chapters (28-29, 38, 72-76) are excluded because they encompass many basic non-strategic goods. However, adding them generates consistent results.

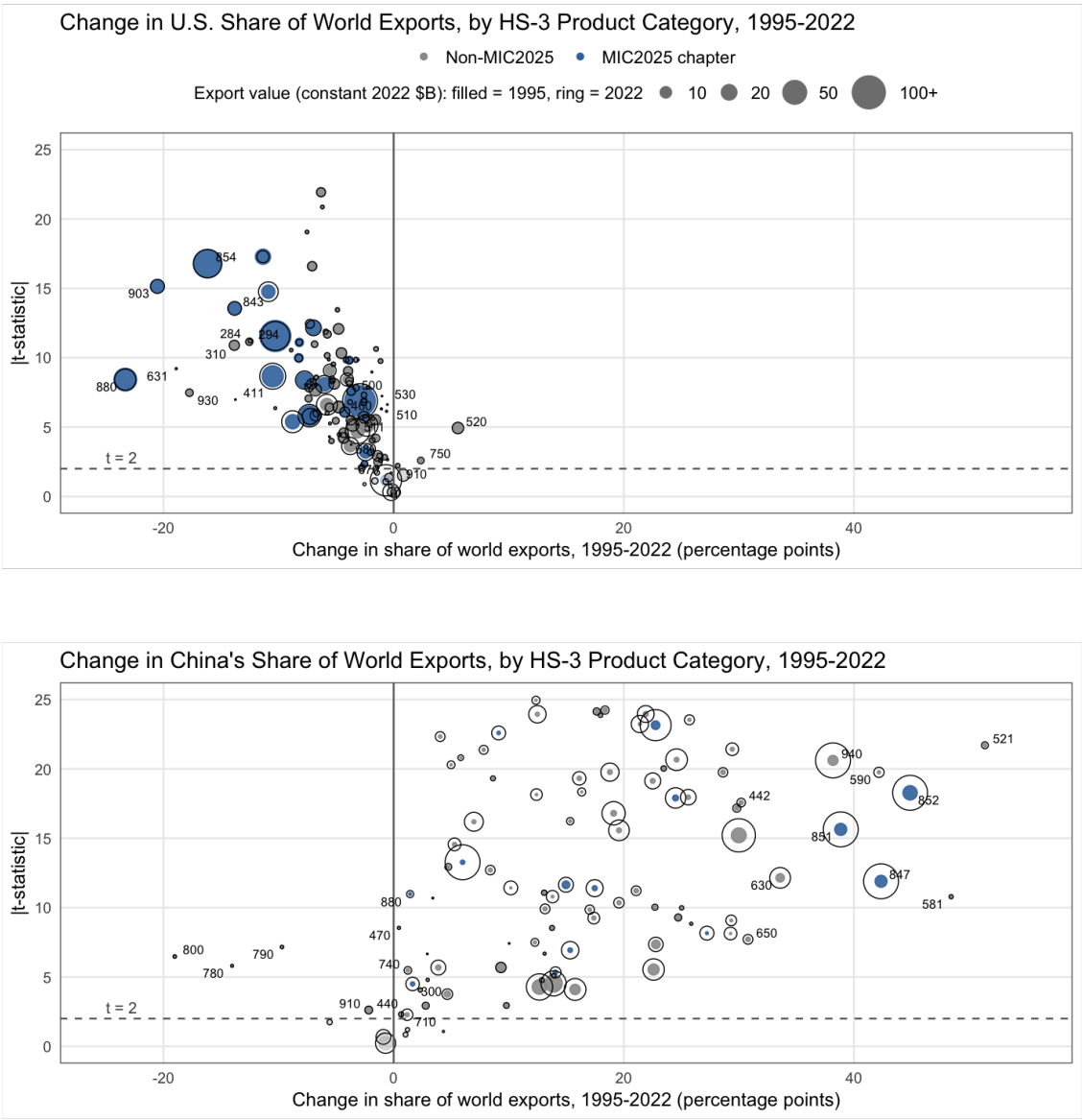


Figure 2: Change in U.S./China share of world exports, by HS-3 sector (merged from HS-4), 1995-2022. *Note*: Exports use inflation-adjusted values. Dark blue indicates sectors under MIC2025-related HS-2 chapters; grey indicates all other manufacturing categories. Points above the dashed line ($|t| > 2$) denote trend estimates statistically distinguishable from zero.

Figure 2 shows that, during 1995-2022, most U.S. industrial sectors decreased their world export shares. Most MIC2025-related sectors that were the main U.S. export powerhouses in 1995 barely grew in real export value. By contrast, China shows the opposite pattern in both dimensions, already gaining substantially in some MIC2025-related sectors.

Control Variables

I control for three baseline groups of covariates to separate the effect of $StableCA_k$ from other reasons a product might have been targeted.

Sector characteristics. Log *U.S. exports* of k averaged over 2001-2007 controls for the possibility that larger, more politically organized industries petition to address threats (Grossman and Helpman 1994). I additionally include mean *U.S. import penetration ratio*, capturing import-competing domestic exposure.[20] I also control for log *value-added* and *employment* of k from the NBER-CES Manufacturing Industry Database to rule out the possibility that $StableCA_k$ merely proxies for output and employment salience.

Product category. Binary indicators for *intermediate goods* and *consumer goods*, constructed following the UN Broad Economic Categories (BEC) classification, control for the systematic avoidance of goods whose restriction would directly raise consumer prices or impede domestic supply chains.

China factors. Share of US imports of k originating from China, averaged over 2001-2007, captures the intensity of direct import competition in the U.S market (Autor et al. 2013). *Chinese RCA* of k over the same period rules out the possibility that the U.S. could target Chinese industrial strength. I also control for log *US exports to China*, capturing products where American exporters had active export exposure to the Chinese market, which may lower targeting probability.

Estimation Strategy

I estimate a linear probability model (LPM) of the following form:

$$\begin{aligned}\text{Targeted}_k = \alpha + \beta_1 \text{StableCA}_k + \beta_2 \text{MIC2025}_k + \beta_3 (\text{StableCA}_k \times \text{MIC2025}_k) \\ + \mathbf{X}_k' \gamma + \delta_{h(k)} + \varepsilon_k\end{aligned} \tag{2}$$

[20] For a given product k, $\text{Import Penetration}_k = \frac{\text{Imports}_k}{\text{Domestic Output}_k + \text{Imports}_k - \text{Exports}_k}$.

where $h(k)$ denotes the HS-2 chapter to which product k belongs, $\delta_{h(k)}$ is a chapter fixed effect, and $\mathbf{X}_k$ is the vector of controls described above. Standard errors are heteroskedasticity-robust and clustered at HS-4 levels. Chapter fixed effects absorb chapter-level political or industrial characteristics, so the interaction is identified from variation within chapters. Such variation exists because HS-2 chapters mix advantage and disadvantage products (HS 85, for example, contains both semiconductors and consumer electrical appliances). Because MIC2025_k is defined at the HS-2 level, MIC2025's main effect β_2 is absorbed by the chapter effects. The expectation-mismatch argument *H1* predicts $\beta_3 > 0$: comparative advantage should raise the likelihood of targeting where it overlaps with MIC2025 chapters. I also estimate a model without chapter fixed effects, which recovers β_2 and allows a comparison of targeting rates across all four combinations of advantage and MIC2025 status.

5.2 Empirical Result

Table 4 displays the results across six specifications, building from the unconditional model to the fully controlled specifications. The coefficient of $\text{StableCA}_k \times \text{MIC2025}_k$ is positive and significant in every specification, from 10.8 percentage points (column 1) to 20.0 percentage points in the fully specified model (column 5). Column 2 adds chapter fixed effects alone, which absorb chapter-level confounders, such as industry characteristics or political influence. Columns 3 through 5 add the three groups of controls progressively: sectoral factors in column 3, China factors in column 4, and product factors in column 5. Column 6 repeats column 5 but relaxes chapter fixed effects to allow for the coefficient of MIC2025. Diagnostic checks include VIF tests for multicollinearity.

Overall, MIC2025 chapters, representing the perceived threat to broad U.S. advantage areas, receive systematically higher targeting probability (46.9 and 28.6 percentage points more in columns 1 and 6, respectively). Within MIC2025 chapters, furthermore, stable comparative advantage predicts a 16.7 percentage point higher probability of targeting – targeting concentrates in "threatened winners." Stable comparative advantage outside MIC2025

chapters, in contrast, predicts little targeting difference.

Table 4: Comparative Advantage and the Targeting of Trump's Section 301 Tariffs

	DV: Section 301 List 1+2 Targeting					
	(1)	(2)	(3)	(4)	(5)	(6)
Stable CA × MIC 2025	0.108***	0.181***	0.188***	0.199***	0.200***	0.147***
	(0.035)	(0.033)	(0.032)	(0.031)	(0.031)	(0.033)
MIC 2025	0.469***					0.286***
	(0.018)					(0.021)
Stable CA	0.057***	0.017**	−0.012	−0.030***	−0.033***	−0.010
	(0.012)	(0.007)	(0.008)	(0.008)	(0.008)	(0.013)
Log US export value			0.020***	0.000	0.004	0.005
			(0.003)	(0.003)	(0.003)	(0.004)
Import penetration			−0.032	−0.004	0.003	−0.021
			(0.056)	(0.048)	(0.050)	(0.050)
Log value-added			0.062***	0.040**	0.035**	−0.036***
			(0.017)	(0.017)	(0.016)	(0.007)
Log employment			−0.026	−0.013	−0.012	0.061***
			(0.021)	(0.020)	(0.020)	(0.010)
China import share				−0.221***	−0.192***	−0.210***
				(0.033)	(0.032)	(0.029)
China RCA				−0.008**	−0.006*	−0.003
				(0.003)	(0.003)	(0.003)
Log US–China exports				0.020***	0.017***	0.025***
				(0.003)	(0.003)	(0.003)
Intermediate good					−0.141***	−0.186***
					(0.025)	(0.023)
Consumer good					−0.209***	−0.220***
					(0.026)	(0.024)
HS-2 FE	No	Yes	Yes	Yes	Yes	No
Observations	4162	4162	4023	4023	4023	4023
R^2	0.369	0.515	0.529	0.546	0.560	0.435

* p < 0.1, ** p < 0.05, *** p < 0.01

Figure 3 visualizes predicted probabilities of targeting across four grids, identified by U.S. stable comparative advantage status crossed with MIC2025 classification, from the full specification (Table 4, column 6) holding all other covariates at their observed values. Within MIC2025 chapters, the model predicts 37.0% and 50.7% probability of targeting for nonstable-CA and stable-CA sectors, respectively.

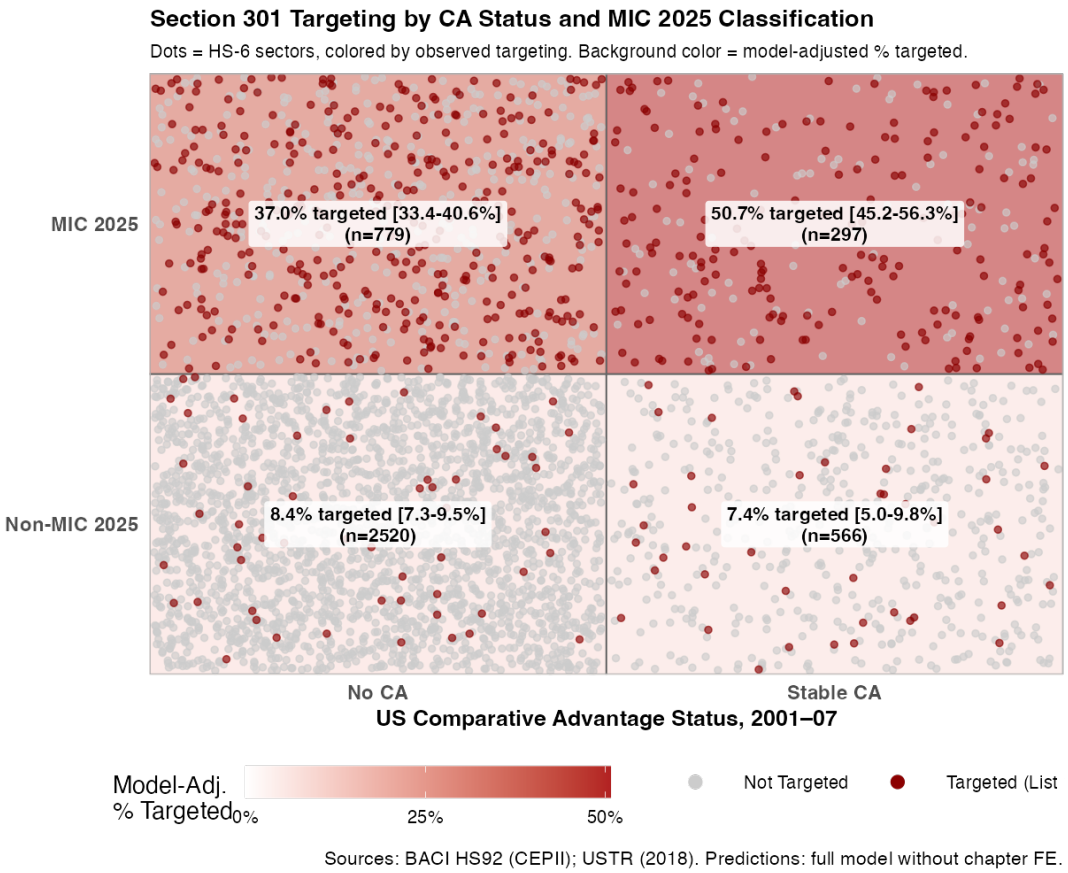


Figure 3: Predicted Section 301 Targeting by Stable CA Status and MIC2025 Classification. Note: Model-predicted Section 301 targeting probability by CA status and MIC2025 classification, with 95% CIs; dots show raw observed targeting outcomes.

Robustness Checks

Table 5 confirms that the findings are robust to an array of alternative specifications: the interaction term remains positive and significant when restricting to List 1 ($34B) or List 2 ($16B), when aggregating to HS-4 levels for the coarser unit of analysis, and StableCA reconstructed using an extended 2001-2016 window before Trump's election. Column (5) recodes MIC2025 using the narrower list of 70 HS-4 sectors I manually mapped from the MIC2025 policy's named areas. Although the interaction term turns null possibly due to limited within-MIC2025 variation, threatened winners (stable CA = 1, MIC2025 = 1) still predict the highest targeting probability.

Table 5: Robustness: List Split, Aggregation Level, and Pre-Period Window

	(1) List 1	(2) List 2	(3) HS-4 Unit	(4) RCA 2001–16	(5) MIC HS-4
Stable CA × MIC 2025	0.226***	0.098**	0.222***	0.153***	−0.019
	(0.032)	(0.040)	(0.060)	(0.032)	(0.045)
Stable CA	−0.046***	−0.001	0.008	−0.025***	0.043***
	(0.005)	(0.007)	(0.016)	(0.008)	(0.013)
MIC 2025					0.185***
					(0.033)
Controls	Yes	Yes	Yes	Yes	Yes
HS-2 FE	Yes	Yes	Yes	Yes	Yes
Unit of analysis	HS-6	HS-6	HS-4	HS-6	HS-6
Observations	3875	3530	940	4023	4023
R^2	0.542	0.477	0.677	0.556	0.561

* p < 0.1, ** p < 0.05, *** p < 0.01.

I conduct additional tests to strengthen the causal claim. First, I conduct sensitivity analysis to assess the omitted variable bias following Cinelli and Hazlett (2020): any confounder (interacted with MIC2025) would need to be 21 times as strong as sectoral value-added or 193 times as strong as import penetration to eliminate the interaction effect (Appendix B.2). Furthermore, I apply two matching methods (nearest-neighbor matching and covariate-balancing propensity score weighting), finding the same pattern within MIC2025 sectors (Appendix B.3). Additionally, to rule out the possibility that the effect reflects arbitrary MIC2025 or StableCA classifications, I conduct randomization inference, showing that the coefficient exceeds 99% of random draws (Section B.4).

Key Competing Explanations

Security and geopolitical concerns. One major competing explanation is that the USTR could consider national security and U.S.-China geopolitical competition during the selection. The former concerns trade's impact on national defense, and the latter concerns relative power. Although they were increasingly relevant over time, several considerations challenge a security- or geopolitical-dominated explanation for the initial policy reversal.

First, as noted, Section 301 action was explicitly stated around the economic competitive-

ness rationale, which differs from national security conventionally defined.[21] The 8-month Section 301 investigation was principally framed around "defending U.S. economic leadership against unfair practices," with tariffs "generally focused on" MIC2025-designated industries (USTR 2018d), while Lighthizer emphasized "critical comparative advantage" (USTR 2018c). Second, the policy context reveals the security-economics coexistence: although U.S.-China rivalry has long existed, Trump's 2017 Beijing visit emphasized commercial deals, and the subsequent "Phase One agreement" focused on purchase commitments. Below, process tracing of annual USTR trade policy agendas finds that security concerns were primarily confined to steel and aluminum.[22]

Second, I examine whether StableCA's effect remains after accounting for security relevance. I notice that security-sensitive products such as military weapons (930100) and ammunition (930690) were not targeted. Due to the absence of U.S. official security-related HS-6 data, I created a detailed codebook based on trade security statutes/regulations (such as Section 232, National Security Strategy, Critical Infrastructures Protection Act) and coded all products into "security," "dual-use," and "neither" (see Appendix B.8 for details). Security predicts positive targeting, confirming its relevance, yet the main interaction remains unaffected. The interaction effect exists within "neither" products. In Appendix B.9, I show robust results using alternative measures: (1) the EU "exporting dual-use items" (European Commission 2026) and (2) combining four security-relevant, although less systematic lists: the U.S. Munitions List, the Commerce Control List, the U.S. Geological Survey (USGS) 2022 List of Critical Minerals, and the Cybersecurity and Infrastructure Security Agency's (CISA) Critical Manufacturing sectors.

Lastly, geopolitical competition can partly overlap with economic competition. Yet, close reading of USTR agendas provides limited stated evidence of geopolitical rivalry as a protection rationale. In MIC2025-designated chapters (e.g., HS: 88 – aircraft, spacecraft

[21] See the next paragraph; the USITC also distinguishes national security from economic competition grounds when evaluating trade impacts.

[22] When policy was fully security-centered (e.g., Section 232 placebo test below), the advantage-defense pattern does not emerge.

and parts thereof) which capture stated competition pressure from an adversary, protection still disproportionately targeted advantage sectors. Furthermore, the policy reaction extends beyond U.S.-China competition, including the EU, Mexico, and Indonesia's tariffs on China, the U.S.-Japan case, and the U.S.-Europe case.

Productive and technological intensity. Another competing explanation is that StableCA merely proxies for more productive or technological sectors. However, U.S. policymakers, while seeking competitiveness, do not indiscriminately defend advanced sectors; Reagan ceded commercial shipbuilding and much semiconductor manufacturing because of comparative disadvantage. As explained, protecting even advanced sectors with belief intact is costlier at the expense of potential efficiency, retaliation, or reputation. Many U.S. elites prioritized efficiency over simply protecting advanced sectors, as illustrated by the aforementioned Boskin's and Romer's respective associations with the computer-chips-versus-potato-chips and haircuts-versus-manufacturing rhetoric (Atkinson 2022). This is not the case when belief erodes, however. Appendix B.6 calculates total factor productivity (TFP) from the NBER-CES Manufacturing Industry Database, and the interaction term remains robust when controlling for TFP×MIC2025. Appendix B.7 further adds three major indicators of sectoral technological intensity, and the main interaction remains little changed.

Interest-group lobby. The USTR may be subject to bottom-up lobby influence, which, however, is weakly supported. As described, Section 301 action was substantially executive-driven with a targeted purpose: the USTR exercised broad discretion over Chinese industrial policies, with most exclusion requests being denied. Many targeted MIC2025-designated sectors have not experienced direct harm yet. Moreover, the main model above controls for a sector's exports, employment, and intermediate-good type for lobby motivations. In Appendix B.10, using firm-level lobbying data from LobbyView in the preceding years 2015-2017 (Kim 2018), the StableCA×MIC2025 estimate barely changes when controlling for lobby (expenditure or count)×MIC2025.

Partisanship. Fajgelbaum et al. (2020) finds that Trump tariffs favored sectors concen-

trated in electorally competitive counties, raising the question of whether the main result reflects electoral targeting. The check (Appendix B.10) constructs two sector-level electoral exposure measures: the payroll-weighted mean county Republican vote share (partisan lean), and the share of each industry's payroll in counties with a 40 to 60 percent Republican vote share, the battleground-state band used by Fajgelbaum et al.[23] Both enter significantly, confirming that electoral targeting is present, but StableCA×MIC2025 is essentially unaffected.

Trade imbalance and reciprocity. Section 301 targeting may track the US-China bilateral trade deficit – an oft-stated rationale for Trump's tariffs. In Appendix B.5, adding the raw bilateral deficit and its interaction with MIC2025 as the controls leaves the main interaction estimate essentially unchanged. Additionally, the USTR may target products that violate the principle of "reciprocity" (Bagwell and Staiger 2002). However, reciprocity, which is often partner-level, does not readily explain why policy rhetoric shifted from market access to defending U.S. advantage sectors, or why protectionism intensified after decades of Chinese trade restrictions. In the same Appendix, the interaction effect remains intact when controlling for China's MFN tariff in 2016 and the tariff reduction between 2001 and 2016 (for promise delivery).

Value-added RCA. RCA constructed from gross trade may understate U.S. comparative advantage in fragmented global production, where the United States specializes in high-value tasks such as design, R&D, and intellectual property while assembly occurs abroad. This creates plausible false negatives (i.e., Stable RCA = 0) in Stable RCA. Such misclassification would tend to attenuate the estimate by assigning genuinely advantaged, highly targeted products to the control group, making RCA and non-RCA MIC2025 products appear more similar. As a robustness check, I reconstruct RCA using value-added exports, showing consistent results (Appendix).

Intra-industry product differentiation. Durable comparative advantage in modern

[23]The sector-level political-competitiveness measure is: $\text{PolExposure}_s = \sum_{r \in R_s} \frac{w_{sr} L_{sr}}{\sum_{r' \in R_s} w_{sr'} L_{sr'}} V_r$, where R_s is the set of counties with employment in industry s, $wsrLsr$ is industry s's labor compensation (payroll) in county r (Census County Business Patterns, 2016), and V_r is county r's 2016 Republican presidential vote share (MIT Election Data and Science Lab).

trade may reflect differentiated-product specialization rather than commodity dominance. StableCA sectors do show higher intra-industry trade (IIT) than other sectors (Grubel-Lloyd index 0.345 vs. 0.258, $p < 0.001$), but this does not confound the result: the interaction is essentially unchanged controlling for IIT and IIT×MIC2025 directly and shows no significant moderation by IIT (triple-interaction $p = 0.145$; significant in both above- and below-median IIT subsamples).

Placebo Tests: pre- and post-2018 policy instruments

Additionally, I examine six placebo instruments that provide falsification tests for the expectation-mismatch mechanism. As noted above, U.S. policymakers began recognizing threats to advantage sectors in the mid-2010s, and Section 301 Lists 1/2 represented the policy response most directly tied to those concerns. The theory therefore should not predict the pattern for policies that fall outside the relevant temporal or substantive scope.

Once deviating from free trade, subsequent policy responses can take unpredictable forms – including industrial policy, geopoliticization, and securitization. The USTR's later List 3/4 targeting of the Section 301 action expanded coverage to most remaining Chinese imports due to retaliation escalation (column 1 of Table 6). This is markedly less selective than List 1/2. The interaction term is not merely null but reverses sign.

The CHIPS Act (Biden, semiconductor manufacturing reshoring subsidies, column 2) follows a "rebuild lost capacity" logic that should be orthogonal to, or even inversely related to, defending existing comparative advantage. The interaction coefficient is small and insignificant, consistent with this prediction. The Inflation Reduction Act's (IRA) clean-energy provisions (Biden, sectors where the US held little advantage) deliberately support electric vehicles (HS 8703) and lithium-ion batteries (HS 8507), sectors with limited prior US comparative advantage. The result shows the same null pattern (column 3). Section 232 steel and aluminum tariffs of long-standing US comparative disadvantage (Trump, HS-2 chapters 72, 73, and 76) follows the national-security rationale. Because Section 232's tar-

geted chapters are entirely disjoint from the MIC2025 HS-2 chapters, an interaction term is omitted. The coefficient of Stable CA is negative (column 4).

Table 6: Placebo: Instrument Specificity and Temporal Tests

	MFN Tariff (Pre-2016)	AD/CVD (Pre-2016)	Sec. 232 (Trump '18)	List 3/4 (Trump '18/19)	CHIPS (Biden '22)	IRA (Biden '22)
Stable CA × MIC 2025	0.015	0.009		−0.205***	0.008	0.010
	(0.229)	(0.011)		(0.036)	(0.010)	(0.012)
Stable CA	−0.106	−0.020***	−0.081***	0.019	−0.003*	−0.003***
	(0.123)	(0.007)	(0.009)	(0.017)	(0.002)	(0.001)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
HS-2 FE	Yes	Yes	No	Yes	Yes	Yes
Observations	3712	4023	4023	4023	4023	4023
R^2	0.531	0.092	0.180	0.355	0.088	0.118

* $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

The remaining two placebo tests examine whether StableCA×MIC2025 products were already protected before Section 301 existed. Using the 2016 U.S. MFN applied tariff rate (from WITS/TRAINS) as the dependent variable, the interaction coefficient is small and insignificant (column 5). Another version of the same test uses active AD/CVD in 2009-2016.[24] The result is again null (column 6). These two pre-2018 placebos indicate that Section 301's targeting pattern was driven by a new logic, rather than a continuation of pre-existing policies.

6 Elite Discourse on Trade Openness

While the Section 301 analysis identifies the theory-consistent pattern of protection, I trace how broader political discourse and official policy rationales evolved over time, providing a more complete chain of evidence. I combine two text sources: congressional speeches (1981-2024) to examine broader shifts in *legislators*' trade discourse, and the USTR's annual President's Trade Policy Agendas (2000-2026) to trace the *executive*'s trade policy assessments and preferences. Members of Congress, especially the president, are not merely conduits

[24]Data from the Temporary Trade Barriers Database (Bown 2016).

of constituent preferences; they retain policy agency. Although public statements do not necessarily reveal private confidence, they contain meaningful information about elites' underlying ideological orientations (Diermeier et al. 2012; Lauderdale and Herzog 2016) even more informative than party-disciplined votes (Gaynor et al. 2026).

6.1 Congressional Speeches (1981-2024)

Evolution of Trade-related Topics

I first employ unsupervised structural topic modeling (STM) to discover broad topics in elite trade discourse and track their prevalence over time. The corpus consists of congressional floor speeches (97th-118th Congresses, 1981-2024).[25] It is filtered to include speeches containing the keyword "free trade" and its spelling variants (excluding "free trade agreement"), because the theory concerns how elites frame the free-trade topic. This process generated 4,220 speeches. For each speech, I capture 500 words surrounding each keyword occurrence for local framing.

In Figure 4, the broad pattern from the same corpus shows a temporal and bipartisan shift away from technicality and liberalization discussions (e.g., environment and safety, agriculture) and toward concerns over industrial decline and lost jobs, which primarily include constituent-driven concerns during the first China shock. As these concerns peaked in the early 2010s, dormant anti-free trade rhetoric rose. Through a manual review of the texts, normative frames such as human rights and democracy were often used to justify anti-trade views. Existing and new trade acts were also increasingly debated. This pattern matches the central puzzle of the paper: free-trade skepticism intensified long after rising trade shocks. By comparison, security or strategic frames are not salient, suggesting a smaller role in accounting for the recent sentimental shift.

[25] Data from the Hein-Daily corpus and US Government Publishing Office.

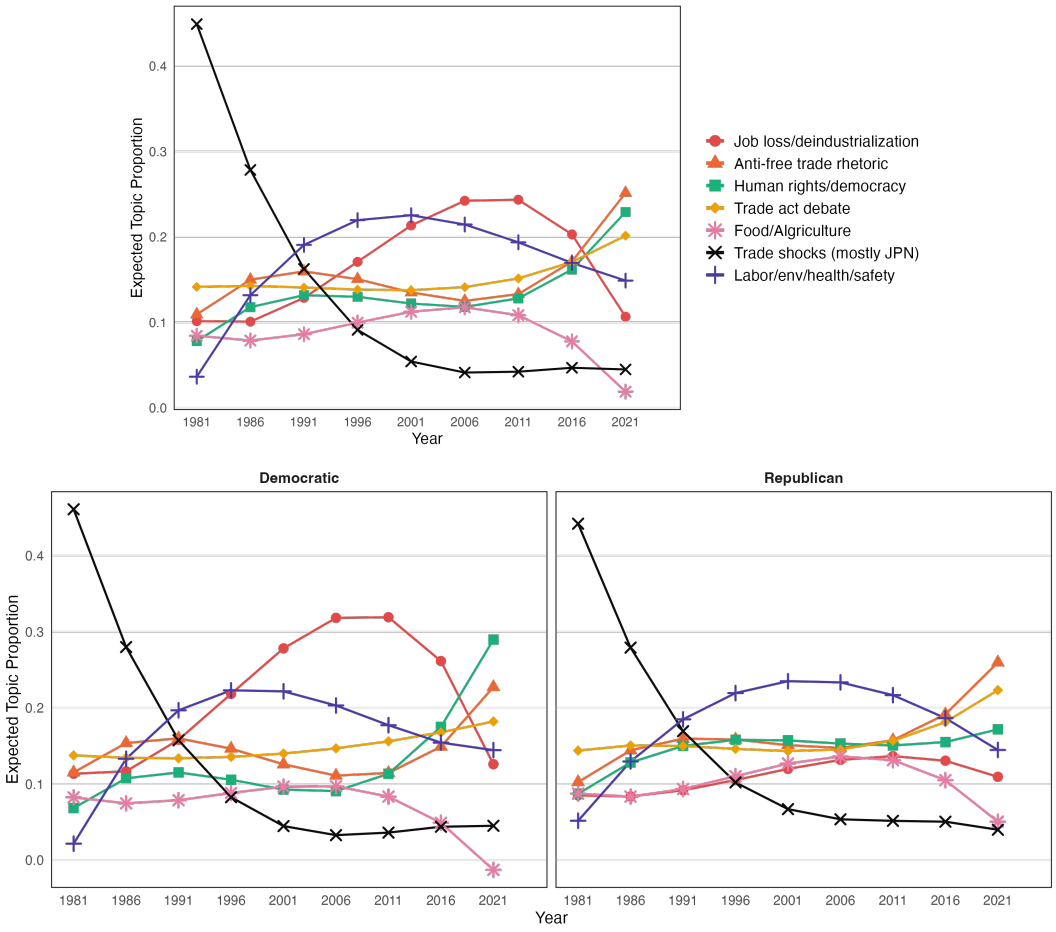


Figure 4: Trade Topic Trends: Congressional Speech on Free Trade by STM

Partisan patterns remain consistent: in the 1990s and early 2000s, Democrats more often emphasized regional and labor costs, while Republicans more often stressed growth and efficiency. After around 2010, however, anti-free trade skepticism rose across both parties. Appendix 11 shows similar patterns when floor speeches mention "trade with China."

Framing and Sectoral Differentiation

Having established the changing composition of elite trade discourse, I examine whether its substantive frames vary across advantage/disadvantage sectors as the theory predicts. An LLM-based approach can correspond to the specific, theoretically motivated constructs at stake here – whether a named sector is identified and how the speaker specifically frames the topic. Measuring these constructs requires context-aware, construct-specific classification,

which is only tractable via LLM-based annotation.

Each speech was then classified by *gpt-4.1* using the structured-output prompting, which constrains the model to a fixed set of valid category values per field.[26] The final prompt (codebook) was tuned on a fixed 300-speech random sample iteratively to reduce non-idiosyncratic mistakes such as sector-frame misattribution (e.g., attributing sectors to frames in unrelated sentences) and incidental sector mentions (e.g., as unrelated, passing references such as "broadband sales"). For each speech, the model extracted every specific sector mentioned, with a total of 4,845 sector mentions, as well as five boolean rhetorical-frame indicators: industrial decline concern, security framing, criticize free trade, call for protection, and china mentioned. The purpose is to assess whether such frames are systematically associated with advantage sectors.

The LLM classification shows good face validity for both positive and negative cases. For example, it precisely identifies the automobile sector in Rep. Bart Stupak's (D-MI) 2004 speech associated with the correct combination of frames (security=F, protection=T, ft_criticize=T, industrial_decline=T, china_mention=F).[27] A human-validation sub-sample check (150 speeches), scored via Krippendorff's alpha, is reported in Appendix. Placebo tests, using synthetic neutral sentences or real excerpts with sectors swapped across categories, find no evidence that the LLM's coding is systematically biased.

Sector names are then canonicalized through a manually-reviewed process to merge sectors with substantively identical meanings (e.g., "chips" or "microprocessors" to "semiconductors") or with spelling and phrasing variants (e.g., "auto," "automotive," "autos," or "cars" to "automobile"). This yields 1,048 distinct canonical sector names. I take a conservative approach to include only obvious sectors in the advantage/disadvantage categories while omitting the borderline cases. The point is to capture the relative mention share changes in a fixed set of advantage/disadvantage sectors comparable across periods. For

[26] See Appendix for the codebook and prompt. Temperature was set to zero. Multiple runs using gpt-4.1-mini and using Claude Sonnet 4.5 yield similar classifications (raw agreement above 92%).

[27] Although in a few rare cases, LLM treats rhetoric like "protection of American know-how" as protectionism.

advantage sectors, I manually classify each sector name against the MIC2025-relevant list that proxies broad-sense U.S. advantage sectors, a consistent operationalization from the main statistical analysis. This results in 1,287 mentions (23 canonical sectors), including "Automobile," "aerospace," and "pharmaceutical." For disadvantage sectors, I identify the ones fitting the classic "labor-intensive, import-competing, low value-added manufacturing" genre, excluding agriculture/food/livestock, energy/minerals, services, generic terms (i.e., "manufacturing"), and anything already MIC2025-tagged. 1,050 mentions (10 canonical sectors) were identified. The list includes "apparel," "steel," and "furniture," most of which have RCA < 1 in 2007. Finally, 2,508 mentions (792 canonical sectors) fall into neither – dominated by agricultural commodities, raw materials, generic terms, and services (many mentioned only once).[28] An LLM-based validation identifies 58 mentions (1.2%) different from manual classification.

[28]See Appendix 21 for the top 20 sectors for each category.

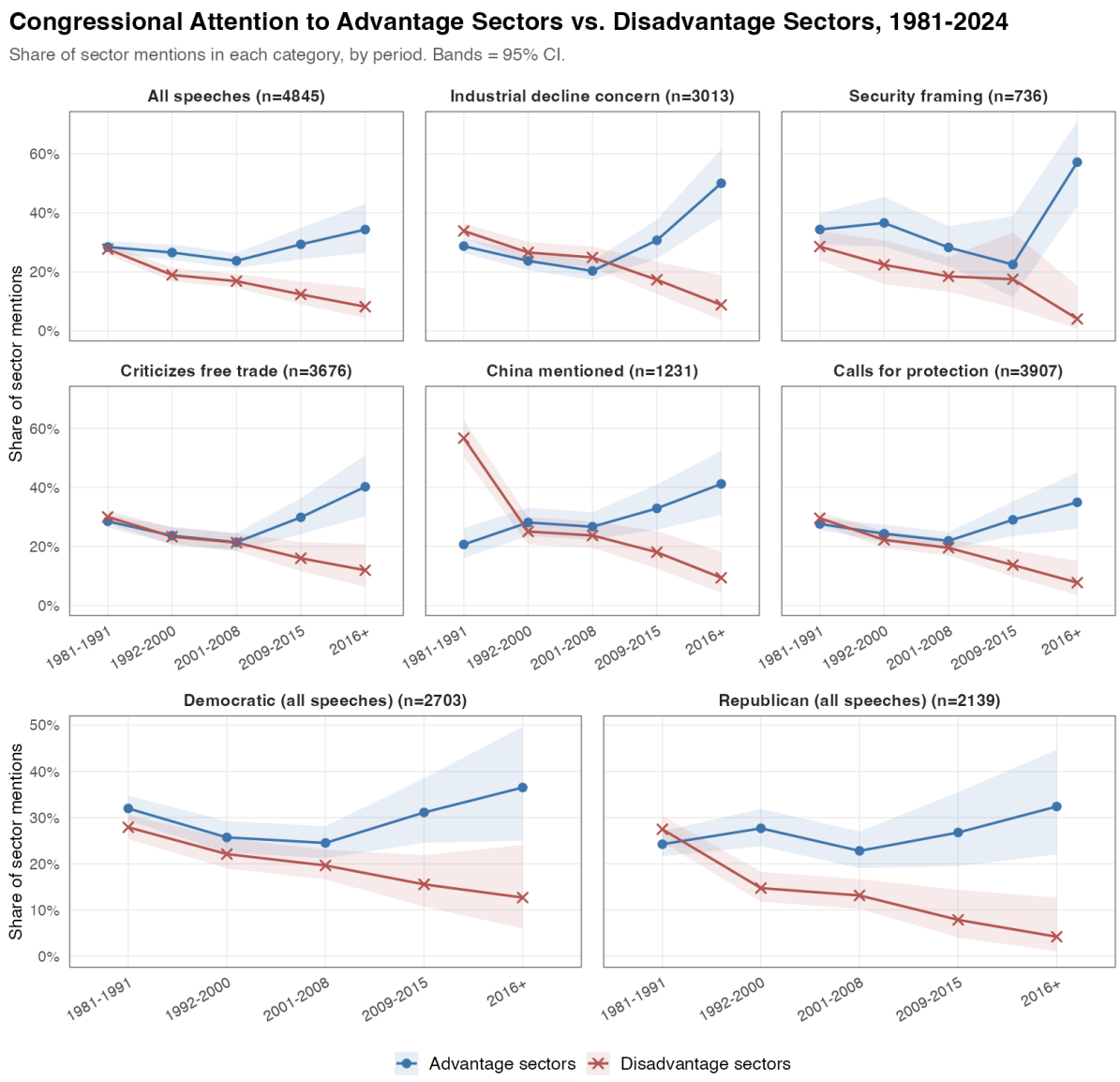


Figure 5: Advantage vs. Disadvantage Sector Share of Sector Mentions. *Note*: by period and rhetorical subgroup, with a standalone Democrat/Republican comparison. Shaded bands are 95% CI and n denotes number of sector mentions.

In Figure 5, across five binned periods, disadvantage-sector mentions (percentage of all mentions) decline steadily and substantially, from nearly 30% of all sector mentions in the 1980s to under 10% by 2016 and later, a pattern that holds across every frames examined.[29]

[29]This mention-level measure captures the composition of trade-sector attention. Mentions per sector-naming speech range from 1.8 to 2.3 across the five periods. Appendix reports results using speech-level measures.

Advantage-sector salience, by contrast, is comparatively flat until the 2000s and then rises rapidly afterwards in all five frames and the bipartisan trends. All this strongly supports the central claim that trade concerns have shifted decisively toward advantage sectors.

Comparing the 2001-2008 and the post-2016 periods, advantage-sector salience within industrial-decline-concern or national-security-framed speeches, for example, rises by nearly 15 percentage points. Disadvantage-sector salience of the same subgroups falls by nearly 20 percentage points.[30] Rep. Marcy Kaptur (D-OH) drew this contrast explicitly:

> "*. . . as U.S. multinationals moved manufacturing offshore, Americans were told their future was in knowledge jobs. Today, knowledge jobs are being moved offshore more rapidly. . .*"

Appendix C.3 presents more examples of these concerns. Legislators increasingly describe trade not as an external relation but as a self-inflicted vulnerability. The recurring rhetoric of "lost good jobs," "unfair trade," and "industrial decline" is consistent with the expectation-mismatch argument: disappointed elites no longer view free trade as as strengthening national strength.

A within-person analysis (Appendix C.4) matching 21 legislators across pre- and post-2015 speeches shows that the same legislators significantly increased their focus on advantage sectors among industrial-decline, criticizing-trade, and security frames. Speakers who shifted toward advantage sectors came from a diverse range of states such as Ohio, New York, Illinois, Vermont, Alabama, California, and Texas, suggesting the shift is not particularly driven by home-state stakes in (dis)advantage industries or partisanship.

[30]Full regression specifications comparing the two periods (2001-08 vs. 2016+) are reported in Appendix 20.

6.2 USTR President's Trade Policy Agendas (2000-2026)

Next, I combine a close-reading process tracing of stated trade policies with a structured textual analysis.[31] The corpus is the USTR *President's Trade Policy Agendas* in its annual reports, which are the statutory means to articulate the administration's policy priorities to Congress rather than to the electorate,[32] for policy signaling and justification. These documents capture the administration's trade interpretation and what it believes should be done, providing presumably stronger behavioral evidence of institutionalized executive trade-policy preferences than floor speeches.

The theory predicts an order of events: elites hold the prior belief that trade openness awards U.S. competitive advantages, then report harm to those sectors (the mismatch). Afterward, they lose confidence in status quo openness.

The Bush administration advocated progressively freer markets to expand opportunities for American businesses and workers (2003), while the agenda (2006) explicitly justified opening markets because the United States possessed a "competitive advantage" in advanced, high-value products and services. Although unfair practices warranted enforcement, the administration continued pursuing additional liberalization through the WTO and bilateral agreements.

Bush's last year agenda (2008) started to mention China's "national champions" that distorted competition. During the Obama administration, concerns increasingly extended beyond displaced workers to threats against American industrial strengths. The agenda (2011/12) explicitly criticized foreign governments for unfairly advantaging sectors ranging from aerospace to clean energy; it identified China's "indigenous innovation policies" as threats to American intellectual property and technology. The agenda (2014) explicitly identified America's "comparative advantage in innovation" as a foundation for its trade strategy, and emphasized "aggressively defending jobs threatened by intellectual property

[31] Appendix 24 provides summary of each year's agenda on administrators' trade confidence, views on advantage sectors, and policy responses.

[32] Required by 19 U.S.C. §2213(a)(3)(A).

theft" (also in 2015).

In 2025, China's MIC2025 initiative made its ambitions in advanced manufacturing more explicit. Nevertheless, Obama responded by pushing for strengthening trade rules hoping to protect national strength, rather than embracing protectionism. Obama concluded the TPP in 2015 and pushed for Congressional approval in 2016. Under the Trump administration, the agenda (2017) called for a fundamental change in trade policy. The agenda (2018) argued that continued adherence to outdated agreements had disadvantaged American businesses while permitting market-distorting foreign practices. The agenda (2019) criticizes trading partners as threatening America's "technological competitive edge." The agenda (2020) further connected the Section 301 response to China's Made in China 2025 program, vowing to "America's competitive edge in technology and innovation."

The Biden administration's agendas demonstrate continued skepticism toward prevailing arrangements. The agenda (2022) argued that existing trade rules could reward advantages unrelated to fair competition and identified China's "artificial comparative advantage" that "puts others out of business." The agenda (2024) continues to emphasize rewriting trade rules as China "controls key industries."

For competing explanations, although confidence in existing openness eroded well before 2017, national security was barely driving trade concerns. Strategic competition was silent: the U.S. is "committed to robust U.S. engagement with China" (2015). Distributional concerns were used to justify protectionism after 2017; yet earlier agendas had noted the economic consequences for workers and communities, but only demanded adjustment assistance and stronger foreign labor standards.

Figure 6 shows the time-series scores of all agendas across multiple dimensions on a 0-3 salience scale through an LLM-based measurement approach (Asirvatham et al. 2026; Bojić et al. 2025; Nakamura et al. 2026).[33] Consistent with close reading, through 2016, the administration kept expecting U.S. competitive advantages to be rewarded (blue line), while

[33]See Appendix C.5 for the codebook, model, and validation details.

confidence in status quo openness fell from 3 to 2 after 2008 and to 0 in 2016 (red line). Arguments that competitive-threat warrants policy change rose from below 1 (2000-08) to above 2 (2014-26). China-rivalry, security and displaced-worker grounds stayed near zero before 2017, while confidence erosion and the rise of competitive-threat argument preceded them.

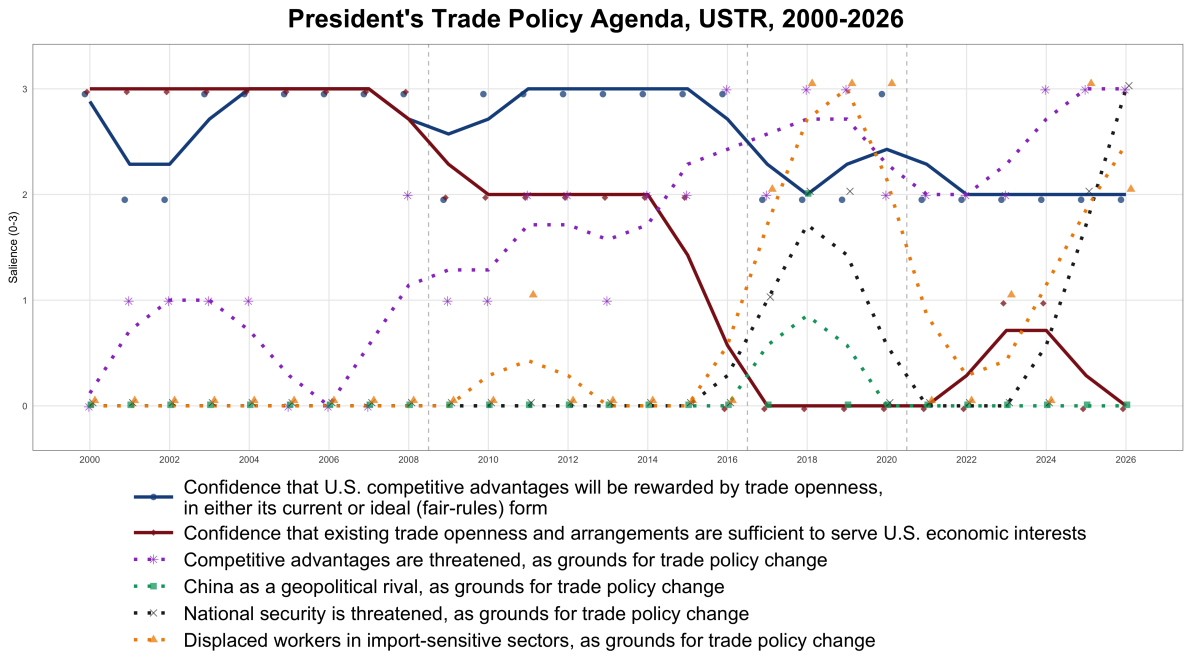


Figure 6: LLM coding of the President's Trade Policy Agenda, 2000-2026. *Note*: Scores are salience (0-3) for each annual document, coded by GPT-5.4. Dots show yearly scores and lines are lowess smooths. See Appendix C.5 for details.

7 Conclusion

This paper argues that the politics of anti-globalization are not governed only by who loses from economic liberalization; they are also governed by whether globalization continues to reward the sectors that originally justified trade openness. Conventional winner-loser theories are powerful for explaining the politics of opening up and adjustment. But they are less able to explain why backlash dramatically intensifies after liberalization matures. The answer, I have suggested, lies in the breakdown of the trade bargain and the promise of comparative

advantage.

When free trade appears to undermine incumbent advantage sectors, policymakers no longer interpret it as a bargain with manageable costs. They reinterpret it as unfair, harmful to national development, and politically unsustainable. The result is not merely stronger opposition from traditional losers. It is a broader erosion of elite support for openness itself.

This argument has three implications. First, it shifts the focus of trade politics from the distributive consequences of opening up to the foundation, bargain, and political sustainability of openness over time. Second, it shows that elite cue is itself endogenous to structural changes in the world economy. Elites do not simply transmit attitudes; they revise their own beliefs when the sectors that had legitimized openness appear threatened. Third, it suggests that contemporary anti-globalization politics are not well understood as a delayed reaction to import competition alone. They reflect a deeper crisis in the foundational assumptions that once made liberalization politically feasible.

The broader implication is not that trade is always undesirable, nor that liberalization is always politically doomed. It is that the political durability of openness is conditional. Where globalization continues to deliver promised gains in the sectors expected to anchor national prosperity, pro-trade coalitions (including, particularly, top elites) can endure. In that sense, current anti-globalization politics are neither easy to fix nor doomed. They suggest a perceived failure of the bargain at the core of globalization that remains to be resolved.

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A A Simple Model of Advantage-Sector Loss

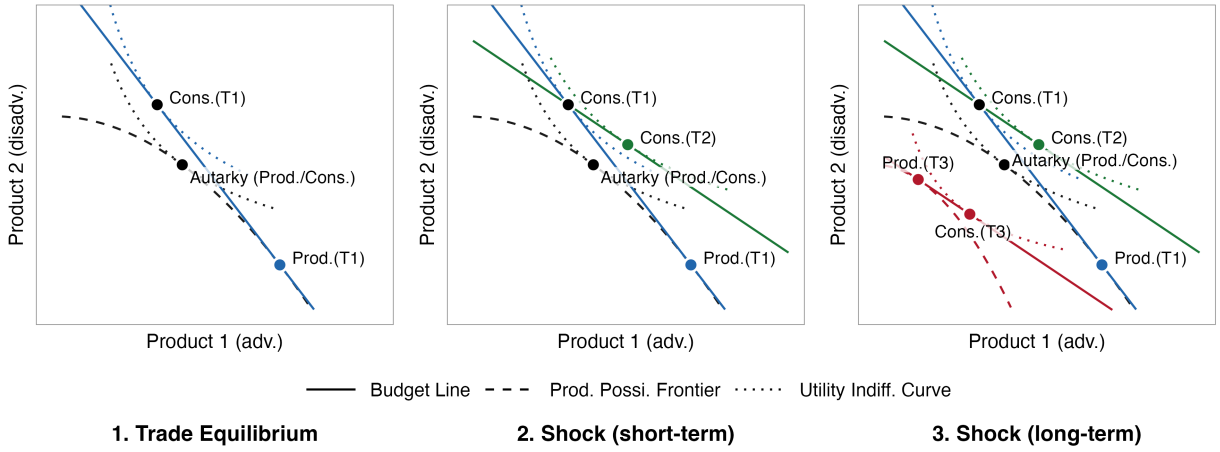


Figure 7: Welfare Change When Advantage Sectors Lose Out. *Note*: The graphs depict that a short-run trade shock to advantage sectors initially appears benign, because deficit financing allows consumption to even rise despite worsening terms of trade. In the long run, when the advantage sector contracts, welfare falls below its autarky level. See Appendix A for formalization. Pros.=Production, Cons.=Consumption.

This appendix provides a simple economic framework for the argument in the main text. The purpose is to clarify why the loss of an established advantage sector can reduce national welfare, particularly when no comparably valuable new advantage emerges. The model distinguishes three stages: an initial trade equilibrium, a foreign productivity shock, and long-run adjustment.

Setup

Consider a home country that produces and consumes two goods, 1 and 2. Good 1 is initially the country's comparative-advantage sector. Let aggregate consumption be C_1 and C_2, and assume representative aggregate preferences of the Cobb–Douglas form:

$$U(C_1, C_2) = C_1^{\alpha} C_2^{1-\alpha}, \qquad 0 < \alpha < 1. \tag{1}$$

An indifference curve associated with utility level $\bar{U}$ is therefore

$$C_2 = \left(\frac{\bar{U}}{C_1^{\alpha}} \right)^{\frac{1}{1-\alpha}}. \tag{2}$$

Production uses a fixed labor endowment L. Let A_1 and A_2 denote labor productivity in the two sectors. A simple Ricardian production possibility frontier (PPF) is

$$\frac{Q_1}{A_1} + \frac{Q_2}{A_2} \leq L, \tag{3}$$

where Q_i denotes domestic production of good i. Under autarky, consumption must equal production:

$$C_i = Q_i. \tag{4}$$

With international trade, consumption need not coincide with production. Let p_1 and p_2 denote world prices. The value of domestic production is

$$Y = p_1 Q_1 + p_2 Q_2. \tag{5}$$

The country's consumption possibilities are consequently described by the trade budget constraint

$$p_1 C_1 + p_2 C_2 \leq p_1 Q_1 + p_2 Q_2 = Y. \tag{6}$$

Equivalently,

$$C_2 = \frac{Y}{p_2} - \frac{p_1}{p_2} C_1. \tag{7}$$

The slope of the trade budget line is therefore $-p_1/p_2$. Consumers choose the highest attainable indifference curve, implying at an interior consumption optimum

$$MRS_{12} = \frac{\alpha}{1-\alpha} \frac{C_2}{C_1} = \frac{p_1}{p_2}. \tag{8}$$

Initial Trade Equilibrium

Suppose the home country initially possesses comparative advantage in good 1. Relative to autarky, trade induces the country to specialize more heavily in good 1 and exchange some of its production for good 2.

Let $Q^{T1} = (Q_1^{T1}, Q_2^{T1})$ denote the initial production point and $C^{T1} = (C_1^{T1}, C_2^{T1})$ the corresponding consumption point. Because trade separates production from consumption, C^{T1} can lie outside the domestic PPF even though the value of consumption cannot exceed the value of production:

$$p_1 C_1^{T1} + p_2 C_2^{T1} = p_1 Q_1^{T1} + p_2 Q_2^{T1}. \tag{9}$$

The country consequently reaches utility

$$U^{T1} = U(C_1^{T1}, C_2^{T1}), \tag{10}$$

which exceeds the utility attainable under autarky when the standard gains-from-trade conditions hold.

This is the benchmark underlying the expectation of mutually beneficial specialization: the country concentrates production in activities in which it possesses an advantage and uses international exchange to obtain a consumption bundle unavailable under autarky.

A Foreign Productivity Shock

Now consider a productivity improvement abroad concentrated in good 1, the sector in which the home country initially possesses comparative advantage. Let foreign productivity in this sector increase from A_1^* to $\widetilde{A}_1^* > A_1^*$.

The productivity shock expands foreign supply of good 1 and, under standard conditions, reduces its relative world price:

$$\frac{\widetilde{p}_1}{\widetilde{p}_2} < \frac{p_1}{p_2}. \tag{11}$$

Because good 1 is the home country's initial export and advantage sector, equation (11) represents a deterioration in the home country's terms of trade.

Suppose first that domestic production cannot adjust immediately, so that

$$Q^{T2} = Q^{T1}. \tag{12}$$

The value of this production after the shock becomes

$$Y^{T2} = \widetilde{p}_1 Q_1^{T1} + \widetilde{p}_2 Q_2^{T1}. \tag{13}$$

Since the country initially specializes disproportionately in good 1, the fall in its relative price reduces the purchasing power of domestic production over imports. The consumption budget line changes accordingly:

$$\widetilde{p}_1 C_1 + \widetilde{p}_2 C_2 \leq Y^{T2}. \tag{14}$$

The country therefore reaches a new consumption point C^{T2} and utility level

$$U^{T2} = U(C_1^{T2}, C_2^{T2}). \tag{15}$$

The short-run welfare effect can be summarized as follows.

Proposition 1. *A foreign productivity improvement concentrated in the home country's export sector can reduce home welfare by deteriorating its terms of trade. The welfare loss is larger, all else equal, the more heavily home production is initially concentrated in that sector.*

The intuition is straightforward. The productivity shock does not need to destroy the home country's physical productive capacity. Instead, it reduces the value of its existing productive capabilities at world prices. A country whose production is concentrated in the

affected sector therefore obtains fewer imports for a given quantity of exports.

Long-Run Adjustment and the Loss of Advantage

In the long run, production can adjust to the new world prices. Let the post-adjustment production point be

$$Q^{T3} = (Q_1^{T3}, Q_2^{T3}), \tag{16}$$

where the contraction of the former advantage sector implies

$$Q_1^{T3} < Q_1^{T1}. \tag{17}$$

The important question is whether the economy develops a sufficiently valuable alternative specialization. Standard trade logic permits this possibility: resources released from the declining sector can move toward other activities, potentially generating a new comparative advantage.

The argument in the main text concerns the case in which this replacement is incomplete. When trading partners swiftly erode advantageous sectors through interventions, one is likely given too short a time to generate new advantage sectors. Define the maximum value of domestic production at world prices as

$$V(p_1, p_2) = \max_{(Q_1, Q_2) \in \mathcal{Q}} \{p_1 Q_1 + p_2 Q_2\}, \tag{18}$$

where $\mathcal{Q}$ is the country's production possibility set.

After the foreign productivity shock, the country's maximum attainable production value is

$$V(\widetilde{p}_1, \widetilde{p}_2) = \widetilde{p}_1 Q_1^{T3} + \widetilde{p}_2 Q_2^{T3}. \tag{19}$$

If adjustment into other sectors does not compensate for the decline in the value of the

former advantage sector, then, measured in units of the import good,

$$\frac{V(\widetilde{p}_1, \widetilde{p}_2)}{\widetilde{p}_2} < \frac{V(p_1, p_2)}{p_2}. \tag{20}$$

The country's attainable consumption set is consequently less favorable than before the shock, and the highest attainable utility level can fall:

$$U^{T3} < U^{T1}. \tag{21}$$

This yields the central result.

Proposition 2. *The welfare consequences of losing a comparative-advantage sector depend on the economy's ability to generate compensating advantages elsewhere. If the decline in the value of the established advantage sector is not offset by sufficiently valuable alternative production, the foreign productivity shock produces a persistent reduction in real income and welfare relative to the pre-shock trade equilibrium.*

Importantly, Proposition 2 does not imply that losing comparative advantage necessarily makes trade welfare-reducing, nor does it require the physical PPF to contract. The result instead concerns the value of the country's productive capabilities at prevailing world prices. If the relative price of the country's established advantage good falls substantially and no comparably valuable new specialization emerges, its feasible consumption opportunities can remain below their previous level even after production has adjusted.

Expectation Mismatch

The model clarifies the distinction between the conventional expectation generated by comparative advantage and the political problem examined in the paper.

At the initial equilibrium, globalization offers a straightforward bargain:

$$\text{specialization} \rightarrow \text{higher efficiency} \rightarrow \text{greater consumption possibilities} \rightarrow \text{higher welfare.} \tag{22}$$

This logic does not, however, imply that the identity of advantage sectors is fixed. Foreign productivity growth can erode an established advantage. Nor does comparative advantage guarantee that a country losing one high-value specialization will automatically acquire an equally valuable replacement.

The politically consequential trajectory is therefore:

$$\begin{aligned} &\text{established domestic advantage} \\ &\quad \rightarrow \text{foreign catch-up in the same sector} \\ &\quad \rightarrow \text{deteriorating terms of trade and domestic contraction} \\ &\quad \rightarrow \text{no commensurate new advantage.} \end{aligned} \tag{23}$$

Under these conditions, the realized trajectory of globalization can diverge from the prior expectation that specialization will continuously reallocate economic activity toward mutually beneficial uses. The relevant political response need not therefore arise simply from import competition in disadvantaged sectors. It can arise from the perceived failure of globalization to preserve or replace activities in which the country expected its productive strengths to be rewarded.

This distinction motivates the paper's focus on *expectation mismatch*: political dissatisfaction can emerge when policymakers observe persistent losses in sectors understood as national strengths without corresponding gains in new advantage sectors. The economic model does not itself determine the political response. Rather, it establishes the economic conditions under which such a mismatch between expected and realized specialization can arise.

B Empirical Results

B.1 Descriptive Information

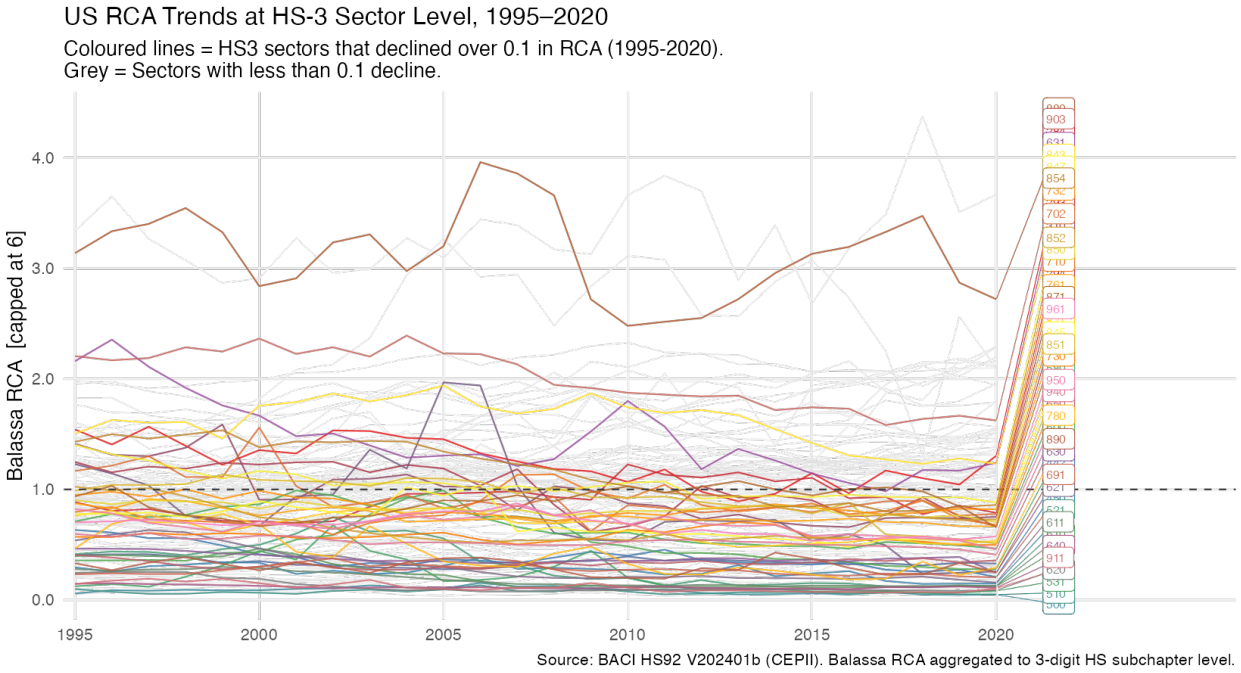


Figure 8: U.S. RCA Trends at HS-3 Sector Level (merged from HS-4), 1995-2020. *Note:* Most declining sectors are U.S. disadvantage sectors, with declines concentrated in 2000-2007 during the first China shock.

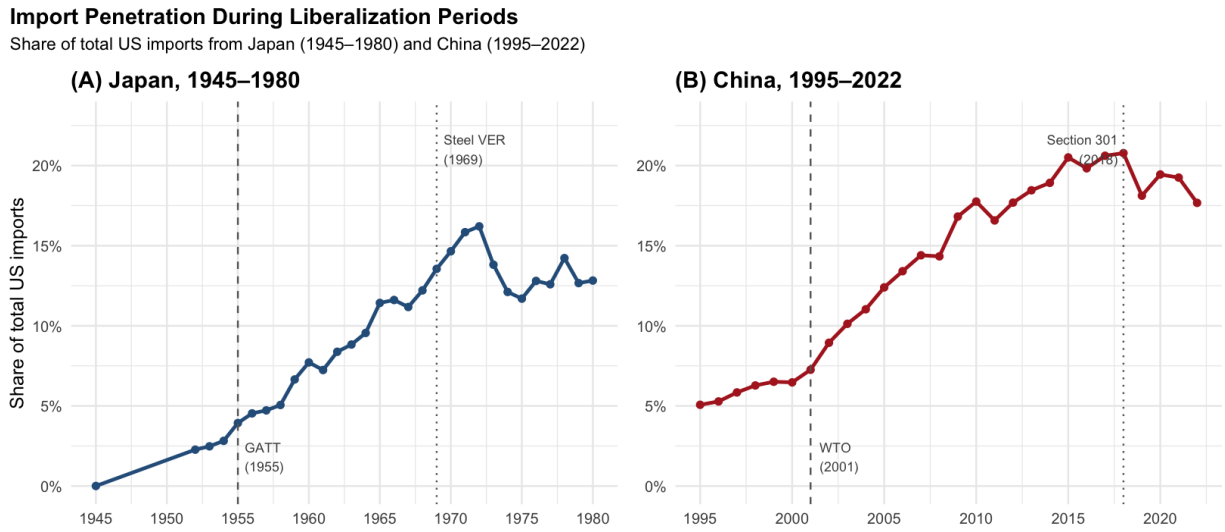


Figure 9: Import Penetration During Liberalization Periods. *Note:* Panels show each country's share of total U.S. imports during its respective liberalization episode: Japan, 1945–1980 (left; Correlates of War Trade Dataset v4.0), and China, 1995–2022 (right; BACI).

B.2 Robustness: Sensitivity Analysis

I conduct a sensitivity analysis following Cinelli and Hazlett (2020), applied directly to the baseline specification. Because the specification already includes both the StableCA and MIC2025 main effects alongside their interaction, a confounder correlated with either category alone contributes little to the residual variance of the interaction term itself; to threaten the estimate, an omitted confounder would need to correlate specifically with the intersection of the two. The Robustness Value at $q = 1$ is 9.24%: such a confounder would need to explain at least 9.24% of the residual variance in both this interaction and the outcome to fully explain away the estimated effect. Structural or compositional covariates – import penetration, log employment, intermediate-good status, log value-added – hold up considerably better, in the 9 to 193 times range (Table 7).

B.3 Robustness: Matching and CBPS Weighting

The LPM specification assumes a linear functional form for the StableCA×MIC2025 interaction. To relax this, I use two matching methods: nearest-neighbor propensity-score matching

Table 7: Sensitivity to Unobserved Confounding: MIC2025-Interacted Benchmarks

Benchmark covariate × MIC2025	Confounder strength needed to fully explain away effect
Consumer good	9.0×
Log value-added	21.0×
Intermediate good	37.0×
Log employment	130.0×
Import penetration	193.0×

Note: Each benchmark covariate is interacted with MIC2025 status, one at a time, in its own minimal single-interaction model (all other controls left plain), so the benchmark shares the treatment's own structure.

(exact-matched on HS-2 chapter) and covariate-balancing propensity score (CBPS) weighting (Imai and Ratkovic 2014), each estimating the effect of stable comparative advantage on Section 301 targeting separately within and outside MIC2025 sectors – a matching-based analog to the LPM interaction that does not impose linearity. Both methods find the same pattern: a substantially larger effect of stable comparative advantage within MIC2025 sectors than outside them. Nearest-neighbor matching gives an ATT of 0.111 (p = 0.006) within MIC2025 versus 0.013 (p = 0.424, not significant) outside it; CBPS weighting gives an ATE of 0.090 (p = 0.034) within MIC2025 versus 0.014 (p = 0.137, not significant) outside it. Both differences are close to the LPM interaction's own estimate (0.147), and in both cases the effect is significant only within MIC2025 sectors, not outside them – evidence the interaction is not an artifact of the LPM's linear functional form.

Table 8: Robustness: Matching and CBPS Weighting

Method	Within MIC2025	Outside MIC2025	Difference
Nearest-neighbor matching (ATT)	0.111 (0.041)	0.013 (0.017)	0.098
CBPS weighting (ATE)	0.090 (0.042)	0.014 (0.009)	0.076
Double ML – lasso7 , 5-fold CV (ATE)	0.070 (0.031)	0.005 (0.007)	0.065

Note: Row 1: nearest-neighbor propensity-score matching (exact-matched on HS2 chapter), average treatment effect on the treated. Row 2: CBPS balance-constrained weighting, average treatment effect. Row 3: Double ML (Chernozhukov et al. 2018), 5-fold cross-fitted lasso nuisance functions, estimated within MIC2025 only. HC1 robust SEs in parentheses.

B.4 Randomization Inference: Permutation

A natural concern with the interaction estimate in main results is that either component of the interaction – the eight-chapter MIC2025 list or the durable comparative-advantage (StableCA) classification – could be an artifact of how those categories happen to be constructed, rather than evidence of a systematic relationship between comparative advantage and Section 301 targeting. We address this with three randomization-inference tests, each holding one component of the interaction fixed at its true, observed value while redrawing the other from its null distribution 2,000 times, re-estimating the StableCA $\times$ MIC2025 interaction coefficient on every redraw, and locating the true coefficient (0.147) within the resulting empirical null distribution.

The first test holds the true StableCA classification fixed and, on each draw, replaces the eight true MIC2025 chapters with a random eight-chapter subset of the 68 eligible HS-2 chapters. The second test holds the true MIC2025 list fixed and instead redraws which same-sized subset of HS-6 products is labeled StableCA. The third test randomizes both simultaneously and independently. Figure 10 plots the three resulting null distributions, with the true coefficient marked as a vertical red line; Table 9 reports the corresponding percentile and one- and two-sided p-values.

The results are asymmetric in an informative way. Randomizing *only* the MIC2025 list (holding the real StableCA classification fixed) places the true coefficient at the 89.4th percentile of the null distribution — an elevated but not conventionally significant position (two-sided $p = 0.316$). In other words, given the true set of durable comparative-advantage products, an arbitrary random eight-chapter list is not statistically distinguishable from the real MIC2025 list in how strongly it interacts with StableCA to predict targeting. By contrast, randomizing *only* the StableCA classification (holding the real MIC2025 list fixed) places the true coefficient beyond the entire null distribution (two-sided $p < 0.001$; 0 of 2,000 draws produced a coefficient as large), and randomizing both simultaneously yields the same conclusion (two-sided $p = 0.001$).

Read together, these tests indicate that the interaction is driven specifically by *which products* possess durable comparative advantage, not by the particular choice of MIC2025 chapters. A random StableCA subset essentially never reproduces the observed relationship, while a random MIC2025-style list, conditional on the real StableCA classification, plausibly could. This is consistent with the paper's core claim — that durable comparative advantage, not sector labeling per se, is the relevant predictor of targeting — while flagging that the MIC2025 boundary itself should be interpreted as one reasonable operationalization of "strategic sector" rather than as a uniquely pinned-down list.

Table 9: Randomization Inference: StableCA × MIC2025 Interaction

Test	Percentile of true coef.	One-sided p	Two-sided p
Randomize MIC2025 only	89.4%	0.1060	0.3155
Randomize durable CA only	100.0%	0.0000	0.0000
Randomize both jointly	99.9%	0.0010	0.0010

Note: True coefficient = 0.147. 2,000 draws per test. "Randomize MIC2025 only" redraws a random 8-chapter subset of the 68 eligible HS2 chapters as a fake MIC2025 list, holding the real stable_adv classification fixed. "Randomize durable CA only" redraws a random same-sized subset of products as fake stable_adv, holding the real MIC2025 list fixed. "Randomize both jointly" redraws both independently. Percentile is the true coefficient's position in each test's null distribution.

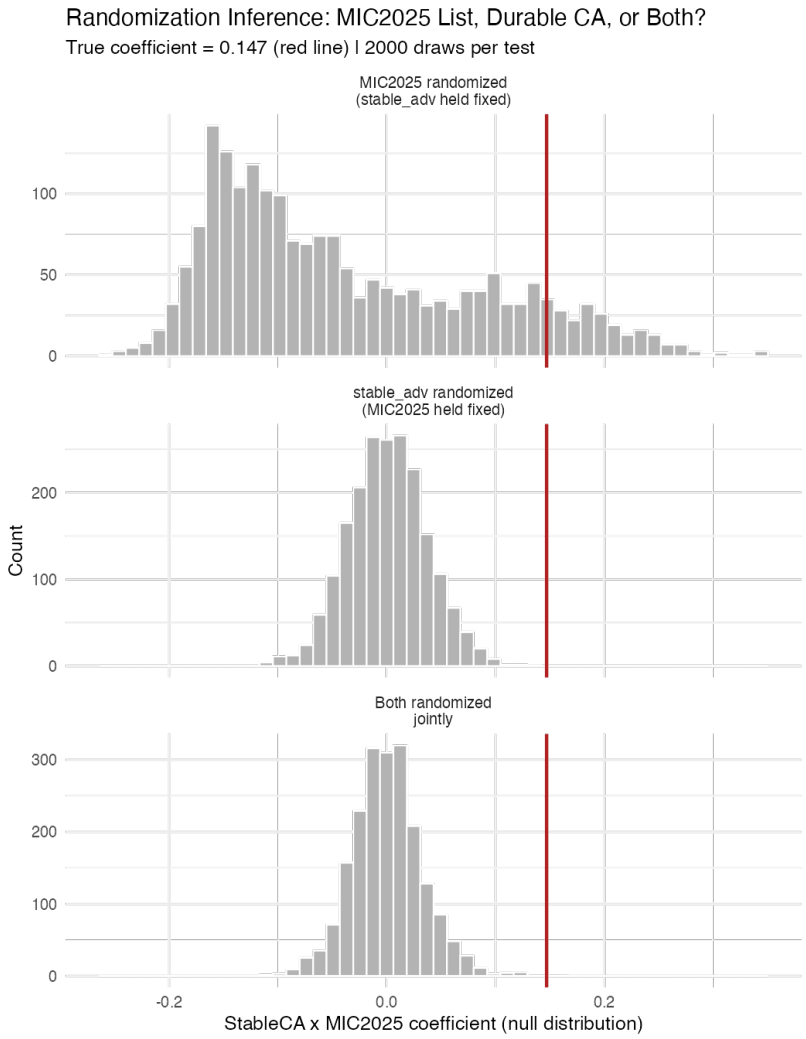


Figure 10: Null Distributions from Randomization Inference. *Note:* Each panel shows the empirical null distribution of the StableCA × MIC2025 coefficient over 2,000 draws, holding one or both components fixed at their true values as described in the text. The vertical red line marks the true, observed coefficient (0.147).

B.5 Robustness: Bilateral Trade Deficit and Reciprocity

A further concern is that Section 301 targeting tracked the US-China bilateral trade deficit – which the policy was partly framed around addressing – rather than comparative advantage itself. To test this, I add the raw US-China trade deficit at HS-6 (2001-2007 average, China's exports to the US minus US exports to China) to the baseline specification. Included as a plain control, it leaves the interaction essentially unchanged: the comparative-advantage

effect is not simply a proxy for deficit-heavy sectors (Table 10).

A stricter test interacts the deficit with MIC2025 as a competing term, so both interactions draw on the same MIC2025-specific variation in the same regression. StableCA×MIC2025 remains significant, while deficit×MIC2025 is itself significant but carries the opposite sign from what a deficit-driven-targeting story would predict – within MIC2025 sectors, a larger bilateral deficit is associated with lower, not higher, targeting probability. The bilateral-deficit story does not cleanly substitute for comparative advantage, and its unexpected sign argues against it as the true driver of targeting.

Table 10: US-China Bilateral Trade Deficit

	(1) Baseline	(2) +Deficit	(3) +MIC2025 Int.	(4) +Deficit (%)	(5) +MIC2025 Int.
Stable CA	-0.010	-0.032**	-0.006	-0.012	-0.010
	(0.013)	(0.013)	(0.013)	(0.013)	(0.013)
MIC 2025	0.286***	0.290***	0.346***	0.287***	0.292***
	(0.021)	(0.021)	(0.023)	(0.021)	(0.021)
Stable CA × MIC 2025	0.147***	0.149***	0.098***	0.143***	0.140***
	(0.033)	(0.033)	(0.033)	(0.033)	(0.033)
US-China trade deficit		-0.006***	-0.001		
		(0.001)	(0.001)		
Trade deficit × MIC 2025			-0.013***		
			(0.002)		
US-China trade deficit (%)				-0.001**	0.000
				(0.000)	(0.000)
Deficit (%) × MIC 2025					-0.001**
					(0.001)
Log US export value	0.005	0.019***	0.013***	0.006*	0.005
	(0.004)	(0.004)	(0.004)	(0.004)	(0.004)
Import penetration	-0.021	-0.004	-0.019	-0.001	-0.026
	(0.050)	(0.042)	(0.041)	(0.048)	(0.051)
Log value-added	-0.036***	-0.047***	-0.037***	-0.035***	-0.034***
	(0.007)	(0.007)	(0.007)	(0.007)	(0.007)
Log employment	0.061***	0.077***	0.059***	0.060***	0.059***
	(0.010)	(0.010)	(0.010)	(0.010)	(0.010)
China import share	-0.210***	-0.080***	-0.111***	-0.195***	-0.209***
	(0.029)	(0.030)	(0.029)	(0.030)	(0.030)
China RCA	-0.003	-0.001	-0.002	-0.002	-0.002
	(0.003)	(0.003)	(0.003)	(0.003)	(0.003)
Log US-China exports	0.025***	0.012***	0.017***	0.025***	0.025***
	(0.003)	(0.003)	(0.003)	(0.003)	(0.003)
Intermediate good	-0.186***	-0.175***	-0.144***	-0.189***	-0.187***
	(0.023)	(0.023)	(0.024)	(0.023)	(0.023)
Consumer good	-0.220***	-0.209***	-0.193***	-0.222***	-0.222***
	(0.024)	(0.024)	(0.024)	(0.024)	(0.024)
Observations	4,023	4,023	4,023	4,023	4,023
R^2	0.435	0.445	0.460	0.436	0.437

Notes: HC1 robust standard errors in parentheses. $^{*}p < 0.1$, $^{**}p < 0.05$, $^{***}p < 0.01$.

A prominent alternative holds that the turn to protection is reciprocity enforcement rather than belief revision. In the terms-of-trade theory of trade agreements (Bagwell and Staiger 2002), liberalization is sustained by reciprocal market access, and a partner that fails to open invites rebalancing. China's incomplete implementation of its accession commitments is well documented, which makes this a live reading of the Section 301 action. I

test the product-level version by adding China's own MFN applied tariff in 2016 and the reduction in that tariff between 2001 and 2016, both from WITS/TRAINS and concorded to HS-1992, to the full specification.[34] Table 11 reports the results. In column (2) the Chinese tariff level enters with a small negative coefficient and the tariff cut is null, while Stable CA × MIC 2025 is unchanged (0.195 versus 0.199 on the same sample). Column (3) interacts both measures with the MIC 2025 indicator. Within MIC 2025 sectors, products facing a higher Chinese tariff were less likely to be targeted, not more, and the extent of China's post-accession opening does not predict targeting at all. The Stable CA × MIC 2025 coefficient remains at 0.180.

Table 11: Robustness: Chinese Tariffs and Market Access

	(1) Baseline	(2) + China tariffs	(3) + China tariffs × MIC 2025
Stable CA	−0.033***	−0.027***	−0.023***
	(0.008)	(0.008)	(0.008)
Stable CA × MIC 2025	0.200***	0.195***	0.180***
	(0.031)	(0.031)	(0.032)
China MFN tariff, 2016		−0.003**	0.002***
		(0.001)	(0.001)
China tariff cut, 2001–2016		−0.000	0.001
		(0.001)	(0.001)
China MFN tariff × MIC 2025			−0.011***
			(0.003)
China tariff cut × MIC 2025			−0.002
			(0.002)
Chapter FE	Yes	Yes	Yes
Full controls	Yes	Yes	Yes
N	4,023	3,711	3,711
R^2	0.560	0.587	0.591

Notes: LPM with HS-2 chapter fixed effects and HC1 robust standard errors in parentheses. $^{*}p < 0.10$, $^{**}p < 0.05$, $^{***}p < 0.01$.

B.6 Robustness: Value-Added and Total Factor Productivity

A competing explanation regarding the main result is that "comparative advantage" merely proxies for sectors where the United States is generally more productive or higher value-

[34] China's 2016 schedule is reported in HS-2012 and its 2001 schedule in HS-1996; both are mapped to HS-1992 with the `concordance` package, averaging where a code splits. The 2016 tariff matches 3,783 of 4,162 products. Two caveats apply.

added, rather than capturing a distinct comparative-advantage-defense logic. But comparative advantage cannot be reduced to high-value-added industries: the United States, for example, ceded commercial shipbuilding and much semiconductor manufacturing despite both being relatively high-value activities.

I add five-factor total factor productivity (TFP) from the NBER-CES Manufacturing Industry Database, averaged over 2001-2007 and matched to HS-6 products via an HS-6-to-NAICS-4 concordance, along with HS2 fixed effects, to the baseline specification. The TFP check is suggestive since the data is limited to the NAICS-4 level. The interaction effect is essentially unchanged (0.200 vs. 0.147 at baseline, both $p < 0.001$). TFP is then interacted with MIC2025 status directly, so the two interactions compete for the same MIC2025-specific variation in the same regression: the StableCA×MIC2025 term remains significant (0.200, $p < 0.001$), while the TFP×MIC2025 term is not (0.192, $p = 0.44$).

Table 12: Comparative Advantage vs. Productivity: TFP Robustness

	(1) Baseline	(2) +TFP, HS2 FE	(3) +TFP×MIC2025
StableCA × MIC2025	0.147***	0.200***	0.200***
	(0.000)	(0.000)	(0.000)
TFP × MIC2025	—	—	0.192
			(0.444)
Controls	Yes	Yes	Yes
Value-added, employment controls	Yes	Yes	Yes
TFP control	No	Yes	Yes
HS2 fixed effects	No	Yes	Yes

Note: Dependent variable is Section 301 List 1/2 targeting. p-values in parentheses. $^{*}p < 0.05$, $^{**}p < 0.01$, $^{***}p < 0.001$.

B.7 Technological Sophistication

A natural concern is that the *Stable CA × MIC 2025* interaction does not capture comparative advantage at all, but instead reflects the more mundane fact that MIC 2025 chapters encompass technologically sophisticated industries, and sophisticated industries attract disproportionate political attention regardless of whether the United States holds a compara-

tive advantage in them. On this reading, the result would not distinguish a comparative-advantage mechanism from a pure industry-sophistication mechanism.

To evaluate this alternative, I construct three independent measures of product sophistication at the HS-6 level and augment the baseline specification with each in turn. The first is PRODY (Hausmann et al. 2007), the export-basket income content of a product: a production-weighted average of exporting countries' GDP per capita, where the weight for country i in product k is $(x_{ik}/X_i) \big/ \sum_j (x_{jk}/X_j)$ and Y_i is constant-2015-USD GDP per capita from the World Bank; a high PRODY value means a product is disproportionately exported by rich countries. The second is the *Product Complexity Index* (PCI) of Hidalgo and Hausmann (2009), derived from the eigenvector of the country–product RCA matrix; it captures structural sophistication in terms of the breadth of capabilities a product requires, with high-PCI products being those that only a handful of highly diversified countries can make. The third is manufacturing *skill intensity*, defined as the non-production-worker wage share (payroll minus production-worker wages, divided by total payroll) from the NBER-CES Manufacturing Industry Database (Becker et al. 2021), crosswalked from NAICS-4 to HS-6 via the Liao et al. (2020) concordance and weighted by value of shipments where multiple NAICS codes map to the same HS-6 product. All three measures are standardized to zero mean and unit variance. Both PRODY and PCI are estimated from BACI trade data (Gaulier and Zignago 2010b) averaged over 2000–2010; skill intensity is averaged over 1995–2010.

Crucially, MIC 2025 chapters *are* more sophisticated on all three dimensions (standardized means: PRODY = +0.34, PCI = +0.60, skill = +0.65, against −0.12, −0.21, and −0.24 for non-MIC chapters), confirming that the reviewer's concern is substantively plausible, not merely hypothetical. The correlations between the MIC 2025 indicator and the three measures are 0.20, 0.35, and 0.40 respectively. The question is whether controlling for sophistication absorbs the comparative-advantage interaction.

Table 13 reports the results. Column (1) reproduces the baseline (Table 1, column 6). Columns (2)–(4) add one sophistication measure at a time, each entered both as a main effect

and interacted with the *MIC 2025* indicator to allow the effect of sophistication to differ across the MIC 2025 boundary—the most direct way to absorb the alternative mechanism. Column (5) enters all three measures simultaneously. Across all five specifications, the *Stable CA* × *MIC 2025* coefficient remains positive, stable in magnitude (range: 0.134–0.161), and highly significant ($p < 0.01$); it never attenuates by more than 9 percent relative to the baseline estimate of 0.147. The three sophistication interactions themselves are mixed: the PCI × MIC 2025 interaction is positive and significant (columns 3 and 5), consistent with more-complex products in MIC 2025 chapters being more frequently targeted, but this effect is additive to—not a substitute for—the comparative-advantage interaction. The skill intensity × MIC 2025 interaction is negative (columns 4 and 5), suggesting that within MIC 2025 chapters, targeting was not concentrated in the most skill-intensive products, which is difficult to reconcile with a pure sophistication story. The results collectively indicate that the *Stable CA* × *MIC 2025* pattern is not an artifact of industry sophistication.

Table 13: Robustness: Technological Sophistication Controls

	(1) Baseline	(2) +PRODY	(3) +PCI	(4) +Skill	(5) +All three
Stable CA	−0.0099	−0.0084	−0.0018	−0.0151	−0.0066
	(0.0156)	(0.0156)	(0.0155)	(0.0162)	(0.0163)
MIC 2025	0.2860***	0.2784***	0.2355***	0.2969***	0.2521***
	(0.0404)	(0.0403)	(0.0408)	(0.0438)	(0.0432)
Stable CA × MIC 2025	0.1470***	0.1446***	0.1335***	0.1613***	0.1469***
	(0.0397)	(0.0398)	(0.0401)	(0.0380)	(0.0387)
PRODY (z)		−0.0029			−0.0016
		(0.0060)			(0.0055)
PRODY × MIC 2025		0.0301			0.0025
		(0.0254)			(0.0288)
PCI (z)			−0.0049		−0.0086
			(0.0083)		(0.0081)
PCI × MIC 2025			0.0963***		0.0921***
			(0.0298)		(0.0341)
Skill intensity (z)				0.0317***	0.0314***
				(0.0087)	(0.0082)
Skill × MIC 2025				−0.0566**	−0.0614**
				(0.0288)	(0.0287)
Full controls	Yes	Yes	Yes	Yes	Yes
HS-2 FE	Yes	Yes	Yes	Yes	Yes
N	4023	4023	4023	3765	3765
R^2	0.435	0.436	0.443	0.456	0.463

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$
LPM (feols), SEs clustered by HS-4 heading. Outcome: indicator for Section 301 List 1 or List 2 targeting. All columns include the full baseline control set from Table 1, col. (6): log US export value, import penetration, China import share, China RCA, log US–China exports, intermediate-good and consumer-good indicators, log value-added, log employment, and HS-2 chapter fixed effects. Tech intensity measures are standardized (z-scores). PRODY and PCI computed from BACI 2000–2010; skill intensity from NBER-CES 1995–2010 crosswalked to HS-6 via NAICS-4.

B.8 Robust Test: National Security Concerns

An alternative explanation is that the main result reflects national-security policy rather than the advantage-defense logic. To evaluate this, I built a codebook (Table 15 below) that classifies each HS-6 product into one of three mutually exclusive categories, applying

U.S. statutes, regulations, and the 2017 National Security Strategy directly to the product's sector: **S** (security-related); **D** (dual-use); and **N** (neither). Rules are applied in a fixed order (defense, nuclear, dual-use, industrial base, infrastructure, neither), with the first matching rule deciding the code, so that classification does not depend on the trade-policy outcomes it is used to test. The codebook deliberately excludes tariff status, RCA, and MIC 2025 status from the information available to any coder.

The codebook was applied by three independent coders operating on the same product descriptions and the same rule text: the author, GPT-5.4-mini (temperature 0), and Claude Haiku 5.5. Agreement across all three coders on the full sample of 4,162 HS-6 products is high (pairwise Krippendorff's α of 0.82-0.86; all three agree on 94.0 percent of products). Of the full sample, each coder classifies 10-11 percent of products as S and 3-4 percent as D, with the remainder (85-87 percent) coded N.

I test the robustness of the main interaction in two ways, under each of the three codings in turn. First, I add *Security* × *MIC2025* and *Dual-use* × *MIC2025* interactions, as controls in the baseline specification. Second, and more stringently, I re-estimate the baseline specification restricted to the subsample of products each coder classifies as N, dropping every product with any security or dual-use designation from the regression entirely.

Table 14 reports the results. Across all three independently-coded security classifications, the *StableCA* × *MIC2025* coefficient is, if anything, slightly *larger* once the security channel is fully controlled for. The security-sector main effect is negative and significant in all three codings. The *Security* × *MIC2025* interaction, by contrast, is large, positive, and highly significant in all three codings. This says that security-designated products specifically *within* MIC2025 chapters were heavily targeted, a real and distinct empirical pattern, but one that operates as an addition to the comparative-advantage channel rather than as a substitute for it. Within the N-only subsample – the stricter test, dropping every security- and dual-use-designated product from the sample entirely rather than controlling for them – the comparative-advantage interaction is not merely robust but *larger* than the baseline.

Table 14: Robustness: National-Security Designation, Three Independent Codings

	(1) Baseline	(2) Manual coding	(3) Manual N only	(4) GPT-5.4	(5) GPT-5.4 N only	(6) Haiku-5.5	(7) Haiku-5.5 N only
Stable CA × MIC 2025	0.147***	0.153***	0.173***	0.155***	0.181***	0.145***	0.177***
	(0.040)	(0.039)	(0.045)	(0.039)	(0.045)	(0.039)	(0.044)
Security		−0.079***		−0.079***		−0.095***	
		(0.024)		(0.025)		(0.025)	
Security × MIC 2025		0.450***		0.459***		0.477***	
		(0.049)		(0.050)		(0.049)	
Dual-use		−0.029		−0.030		−0.021	
		(0.024)		(0.022)		(0.025)	
Dual-use × MIC 2025		0.223***		0.231***		0.304***	
		(0.080)		(0.078)		(0.069)	
Full controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes
HS-2 FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes
N	4023	4023	3462	4023	3475	4023	3517
R^2	0.435	0.458	0.375	0.456	0.380	0.462	0.372

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$
Note: LPM model; SEs clustered by HS-4 heading.

Table 15: Security Codebook: Legal Sources, Definitions, and Rules

ID / Source	Content
Legal and Policy Sources	
19 U.S.C. § 1862(d)	**Section 232 of the Trade Expansion Act of 1962** (Statute). Factors for national defense (domestic production, capacity, availability of raw materials and supplies); also the link between economic welfare and national security
50 U.S.C. § 4552(2) and (14)	**Defense Production Act of 1950** (Statute). Definitions of "critical infrastructure" and "national defense"
50 U.S.C. § 4565(a)(1) and (a)(6)(A)	**CFIUS statute (Section 721 of the Defense Production Act, as amended by FINSA 2007 and FIRRMA 2018)** (Statute). "National security" includes homeland security and critical infrastructure; "critical technologies" (defense articles, nuclear items, select agents and toxins)
42 U.S.C. § 5195c(e)	**Critical Infrastructures Protection Act of 2001 (section 1016 of the USA PATRIOT Act)** (Statute). Definition of "critical infrastructure"
50 U.S.C. § 4801(2) and § 4811(1)(A)	**Export Control Reform Act of 2018 (ECRA)** (Statute). Definition of "dual-use"; the national-security rationale for controlling dual-use items
15 C.F.R. § 705.4(a)	**Section 232 investigation rules, "Effect of Imported Articles on the National Security"** (Regulation). The same factors as § 1862(d), including "production equipment and facilities"
15 C.F.R. § 730.3	**Export Administration Regulations (EAR), general information** (Regulation). The regulatory statement of what "dual use" means
White House, 2017	**National Security Strategy of the United States of America (December 2017)** (Strategy). Defense industrial base and supply chains; infrastructure sectors; technologies critical to economic growth and security
83 Fed. Reg. 11625 and 11619 (15 March 2018)	**Proclamations 9705 (steel) and 9704 (aluminium)** (Presidential proclamations under Section 232). The steel and aluminium product ranges for S-IND4
Congressional Research Service, updated 18 May 2021	**Section 232 Investigations: Overview and Issues for Congress (CRS R45249)** (Congressional research report). Record of past Section 232 findings (machine tools 1983; bearings, gears and others)
Definitions	

ID / Source	Content
Definition: National Security (S)	No U.S. statute defines the term in full. The CFIUS statute provides that "national security" "shall be construed so as to include those issues relating to "homeland security", including its application to critical infrastructure" (50 U.S.C. § 4565(a)(1)). The Defense Production Act defines "national defense" as "programs for military and energy production or construction, military or critical infrastructure assistance to any foreign nation, homeland security, stockpiling, space, and any directly related activity" (50 U.S.C. § 4552(14)). Section 232 supplies the production, capacity and supply factors used in area 1 below (19 U.S.C. § 1862(d)). The four areas below apply these sources to products. The sector exists to create, sustain or protect national defense capacity, or to keep running the systems on which national security depends. Four areas: 1. **Defense.** "the domestic production needed for projected national defense requirements" and "products, raw materials, and other supplies and services essential to the national defense" (19 U.S.C. § 1862(d); 15 C.F.R. § 705.4(a)); "[d]efense articles or defense services" (50 U.S.C. § 4565(a)(6)(A)(i), which continues "included on the United States Munitions List"). 2. **Nuclear.** Nuclear facilities, equipment and material (50 U.S.C. § 4565(a)(6)(A)(iii)-(iv)). 3. **Defense industrial base.** "The ability of the military to surge in response to an emergency depends on our Nation's ability to produce needed parts and systems, healthy and secure supply chains, and a skilled U.S. workforce" (2017 NSS); "raw materials" essential to national defense (19 U.S.C. § 1862(d)). Applied here in two ways. (i) Sectors that a Section 232 national-security finding designates: metal-working machine tools, the production equipment that 15 C.F.R. § 705.4(a)(3) names ("production equipment and facilities"; positive finding, 1983), steel and aluminium (2018), and unwrought titanium (2019). (ii) Raw materials the researcher judges essential to defense production, a closed list of strategic metals (S-IND2), which is an application of the "raw materials" clause and is not designated by any Section 232 finding except for titanium. Some of these sectors do not exist for defense; they are S because of the designation or the raw-material judgment stated here. Precision bearings and gears are coded D instead: no Section 232 finding designates them as national-security products, and their main market is civilian. 4. **Critical infrastructure.** "Systems and assets, whether physical or virtual, so vital to the United States that the incapacity or destruction of such systems and assets would have a debilitating impact on security, national economic security, national public health or safety, or any combination of those matters" (42 U.S.C. § 5195c(e)); the Defense Production Act uses "any systems and assets, whether physical or cyber-based, so vital to the United States that the degradation or destruction of such systems and assets would have a debilitating impact on national security, including, but not limited to, national economic security and national public health or safety" (50 U.S.C. § 4552(2)); the 2017 NSS names energy and power, communications, transportation, health and safety, and banking and finance.

ID / Source	Content
Definition: Dual-Use (D)	The Export Control Reform Act defines the term: "the item has civilian applications and military, terrorism, weapons of mass destruction, or law-enforcement-related applications" (50 U.S.C. § 4801(2)). The Export Administration Regulations word it as "A "dual-use" item is one that has civil applications as well as terrorism and military or weapons of mass destruction (WMD)-related applications" (15 C.F.R. § 730.3). The statute's purpose in controlling such items is to restrict those "which would make a significant contribution to the military potential of any other country or combination of countries which would prove detrimental to the national security of the United States" (50 U.S.C. § 4811(1)(A)). The sector's main market is civilian, but the product type is a weapon or weapon component, serves military, terrorism, WMD or law-enforcement ends, or is a precision component (bearings, gears, turbine blades) on which weapon production depends. The 2017 NSS adds technologies "critical to economic growth and security, such as data science, encryption, autonomous technologies, gene editing, new materials, nanotechnology, advanced computing technologies, and artificial intelligence."
Definition: Neither (N)	The sector has no identified function in any area above. Economic importance, employment, or a merely possible military use is not enough for S or D. The stated exceptions are S-IND1 and S-IND4, which rest on Section 232 national-security findings (machine tools, 1983; steel and aluminium, 2018). Section 232 itself treats the economic welfare of the Nation and the displacement of domestic industry as relevant (19 U.S.C. § 1862(d)); this codebook adopts a narrower reading: a sector is S on its function or on an explicit Section 232 designation, and general economic importance does not count, so that the classification does not depend on the trade-policy outcomes it is used to test. Of the products with a positive Section 232 finding, machine tools, steel, aluminium and titanium are coded S; automobiles and parts (positive finding, 2019) are coded N, pending verification of their product list.
Rules (apply in order; first match decides)	
S, defense (area = defense)	
S-DEF1	Products such as (not exhaustive): weapons of war and ordnance: military weapons, artillery and guns of war, missiles, rockets, torpedoes, bombs, grenades, mines, flame throwers. Not included, such as: sporting firearms (D-WPN1), toy guns
S-DEF2	Products such as (not exhaustive): armoured fighting vehicles, tanks and other combat or military vehicles. Not included, such as: ordinary trucks, tractors and works trucks
S-DEF3	Products such as (not exhaustive): warships, submarines and other military vessels. Not included, such as: yachts, fishing vessels, tugs, merchant ships
S-DEF4	Products such as (not exhaustive): military aircraft, military helicopters and combat drones. No HS 1992 line names these. Not included, such as: civil aircraft (D-AERO)

ID / Source	Content
S-DEF5	Products such as (not exhaustive): military protective and combat equipment: body armour, combat helmets, military fire-control, targeting and combat electronics, military training equipment and simulators. No HS 1992 line names these. Not included, such as: safety headgear, ordinary protective clothing
S, nuclear (area = nuclear)	
S-NUC1	Products such as (not exhaustive): nuclear materials: uranium, plutonium, thorium and their compounds, nuclear fuel and spent fuel elements, heavy water, radioactive isotopes and elements. Not included, such as: non-nuclear chemicals
S-NUC2	Products such as (not exhaustive): nuclear facilities and equipment: reactors, reactor parts, isotope-separation machinery, nuclear fuel handling equipment. Not included, such as: boilers and turbines of ordinary power plants (S-INF1)
D, dual-use (apply before the industrial-base and infrastructure rules)	
D-WPN1	Products such as (not exhaustive): civilian firearms and other arms: pistols, revolvers, sporting, hunting and target rifles and shotguns, muzzle-loaders, air, spring and gas guns, swords and bayonets, and their parts and accessories. Not included, such as: toy guns
D-WPN2	Products such as (not exhaustive): ammunition and sights: cartridges, shotgun shells, parts of ammunition, telescopic sights and optical sighting devices for arms. Not included, such as: riveting cartridges, flares, fireworks, binoculars
D-EXP	Products such as (not exhaustive): explosives and initiators: propellent powders, prepared explosives, fulminates and other primary explosives, fuses, detonators and igniters. Not included, such as: fireworks, matches
D-CBW	Products such as (not exhaustive): chemical and biological agents: toxins, cultures of micro-organisms and pathogens. Chemicals with chemical-weapon uses, such as phosgene, hydrogen cyanide and nerve-agent precursors, are coded under D-CHEM. Not included, such as: vaccines (S-INF6 or N), ordinary medicines
D-AERO	Products such as (not exhaustive): aerospace: aeroplanes, helicopters, spacecraft, satellites, launch vehicles, aircraft and rocket engines, gas turbines for aircraft, and their structural and mechanical parts (propellers, rotors, undercarriages), launching and arresting gear, parachutes and ground flying trainers. Not included, such as: aircraft tyres, aircraft seats, gliders, gas turbines whose description does not name aircraft (S-INF1)
D-SUB	Products such as (not exhaustive): submersible and underwater vehicles and diving systems. No HS 1992 line names these. Not included, such as: ordinary boats and vessels
D-SENS	Products such as (not exhaustive): detection, sensing and guidance: radar, radio navigational aids, sonar, night-vision and thermal-imaging devices, image intensifiers, microwave tubes (magnetrons, klystrons), rangefinders, gyroscopes and inertial or satellite navigation equipment, lasers, magnetometers, radiation detection and measuring instruments, particle accelerators and electron microscopes. Not included, such as: simple magnetic direction-finding compasses, binoculars, radio remote control

ID / Source	Content
D-COMP	Products such as (not exhaustive): advanced semiconductors (the NSS's advanced computing technologies): integrated circuits and microassemblies, microprocessors and memory, transistors and thyristors, photosensitive and light-emitting semiconductor devices other than solar cells (solar cells are S-INF1), and semiconductor materials (doped wafers), with parts of those devices following the item. Supercomputers and high-performance servers are D in principle, but HS 1992 has no separate line for them: they sit in the lines for complete digital computers and for processing units, together with ordinary computers, and the product name cannot show performance. Not included, such as: computers of every kind (including peripherals and storage units), calculators and computer parts, rectifier and signal diodes, mounted piezo-electric crystals
D-CRYPT	Products such as (not exhaustive): encryption and information security: cryptographic equipment and secure communications devices. No HS 1992 line names these. Not included, such as: ordinary telecommunications equipment (S-INF4)
D-AUTO	Products such as (not exhaustive): autonomous systems: industrial and other robots, unmanned vehicles and vessels, automatic control systems for autonomous operation. No HS 1992 line names these. Not included, such as: ordinary machinery
D-MAT	Products such as (not exhaustive): advanced materials: carbon and aramid fibres and composites, ceramic matrix and high-temperature materials, permanent magnets (including rare-earth magnets), superconducting materials, cermets and nanomaterials. Not included, such as: ordinary graphite and carbon articles, glass fibres
D-BIO	Products such as (not exhaustive): biotechnology: nucleic acids, recombinant and genetic materials, and prepared culture media for micro-organisms and cell cultures. Not included, such as: rennet, food and industrial enzymes
D-CHEM	Chemical precursors, a closed list of chemical classes whose recognised uses include making explosives, propellants or chemical agents: (i) oxidizers: chlorates, perchlorates, nitrates (including fertilizer-grade ammonium and potassium nitrate), nitric acid, high-strength hydrogen peroxide; (ii) energetic-chemistry classes: nitro and nitroso compounds, nitrated alcohols and phenols, nitrate esters and cellulose nitrates, azides, diazo compounds, organic peroxides, hydrazine and its derivatives; (iii) chemical-agent chemistry: fluorine and hydrogen fluoride, elemental phosphorus, phosphorus halides and phosgene (non-metal halides and chloride oxides), organophosphorus and thiophosphoric esters, organo-inorganic compounds (including organophosphorus compounds), cyanides. Not included, such as: all other chemicals, for example halogenated hydrocarbons, epoxides, metal halides, metal fluorides and fluorosilicates, sulphates, chlorine, and general solvents, acids and salts
D-PROC	Process equipment for hazardous materials, a closed list: vacuum pumps; centrifuges and centrifuge parts (other than cream separators and clothes dryers); heat exchangers; distillation and rectifying plant; gas liquefaction and separation plant; gas filtering and purifying machinery. Not included, such as: industrial and laboratory furnaces and ovens, mixing and kneading machinery, liquid filters, valves, general pumps
D-ELEC	High-frequency test electronics: signal generators and oscilloscopes. Not included, such as: multimeters, general electrical measuring instruments, capacitors (for example tantalum), resistors, ordinary power supplies and static converters

ID / Source	Content
D-OPT	Special imaging: cameras specially designed for underwater, aerial-survey or high-speed recording; photogrammetrical (aerial-survey) instruments; hydrographic and oceanographic survey instruments. Not included, such as: ordinary lenses and optical elements, theodolites, levels, ordinary cameras, general laboratory analysis instruments (chromatographs, spectrometers)
D-PREC	Products such as (not exhaustive): precision components: precision and high-speed bearings and bearing parts, precision gears and gearing, turbine blades and discs. Coded D, not S, because no Section 232 finding designates bearings or gears as national-security products and their main market is civilian. Not included, such as: ordinary transmission shafts, pulleys, clutches and couplings
D-CBRN	Products such as (not exhaustive): protection against chemical, biological or radiological hazards: gas masks, breathing apparatus, chemical and radiation protective suits, bullet-resistant materials. Not included, such as: spectacles and goggles
S, defense industrial base (area = industrial_base)	
S-IND1	Products such as (not exhaustive): production equipment for making military hardware: metal-cutting and metal-forming machine tools, including numerically controlled machine tools and their parts and accessories; metal-rolling mills; forging and die-stamping machines and presses for metal. Basis: "production equipment and facilities" (15 C.F.R. § 705.4(a)(3)) and the positive Section 232 finding on machine tools (1983, CRS R45249 Table B-1). Not included, such as: woodworking and stone-working machine tools, hand tools, welding machines, foundry equipment (converters, ingot moulds, casting machines)
S-IND2	Strategic metals, a closed list: titanium, tungsten, molybdenum, tantalum, niobium, zirconium, hafnium, beryllium, cobalt, vanadium, rhenium, gallium, germanium, indium, magnesium metal and the rare-earth elements (scandium, yttrium and the lanthanides), in unwrought, powder, bar, wire, plate, foil and tube forms; the compounds of only the rare-earth elements, cobalt oxides, molybdenum oxides, germanium oxides and tungstates; nickel alloys (unwrought, bar, wire, plate, tube); and the ferro-alloys of the listed metals (ferro-molybdenum, ferro-tungsten, ferro-titanium, ferro-vanadium, ferro-niobium). Lines that combine unwrought metal with waste and scrap are S-IND2. No other metal qualifies. Not included, such as: copper, lead, zinc, tin, bismuth, cadmium, antimony, chromium, manganese, silicon, unalloyed nickel, ferro-nickel, ferro-chromium, ferro-manganese, ferro-silicon, platinum-group and other precious metals, other compounds (for example titanium dioxide pigment), and lines that cover scrap or waste alone
S-IND4	Steel and aluminium products named in clause 1 of Proclamations 9705 (steel) and 9704 (aluminium), matched at HS6 level in the HS1992 sample with the same ranges as the Section 232 placebo test: steel HS 7206.10-7216.50, 7216.99-7301.10 and 7304.10-7306.90; aluminium HS 7601 and 7604-7609. Basis: the Section 232 findings that steel and aluminium imports "threaten to impair the national security" (March 2018, under 19 U.S.C. § 1862). Because this rule rests on a policy designation, report results with and without it. Not included, such as: pig iron, direct-reduced iron, iron and steel powders, scrap, cast-iron tubes, cold-formed sections, fittings, fasteners and other articles of steel or aluminium (such as steel nails, cast pipe fittings, aluminium containers); railway track material is S-INF5

ID / Source	Content
S, critical infrastructure (area = infrastructure)	
S-INF1	Products such as (not exhaustive): electric power generation: generators, steam, gas and hydraulic turbines, boilers and reactors for power plants, wind and solar generating equipment (including solar cells), lead-acid (other than starter), nickel-cadmium and nickel-iron accumulators and other industrial energy storage. Gas turbines are S-INF1 unless the description names aircraft (then D-AERO). Not included, such as: consumer cells, vehicle starter batteries and other small batteries, accumulators n.e.s. (the name cannot show scale and the line includes consumer lithium-ion batteries), central-heating boilers
S-INF2	Products such as (not exhaustive): electric power transmission and distribution: transformers, switchgear, circuit breakers, power cables and insulators, electricity meters. Not included, such as: plugs and sockets, static converters
S-INF3	Products such as (not exhaustive): oil, gas and fuel supply: drilling, extraction and pipeline equipment (including mobile drilling derricks and floating drilling platforms), fuel storage and distribution equipment (steel and other metal pipes and tubes fall under S-IND4). Not included, such as: steel line pipe (S-IND4), ordinary pumps, boring and sinking machinery for mining and construction
S-INF4	Products such as (not exhaustive): communications networks: telephone and data network equipment, radio and television transmission apparatus, optical-fibre cables, antennas and satellite earth stations, network switching. Not included, such as: terminal devices (telephone sets, teleprinters), television receivers, loudspeakers, radio-broadcast receivers
S-INF5	Products such as (not exhaustive): transport networks, fixed assets and control only: railway and tramway track material (rails, sleepers of steel or wood, switch blades, fish-plates and other track fittings), railway and road signalling and traffic-control equipment, and air-traffic control equipment. Not included, such as: vehicles and ships, which are carriers and not the network (locomotives, railway rolling stock such as wagons, merchant ships, tugs, dredgers, marine engines and propellers)
S-INF6	Products such as (not exhaustive): health emergency supplies: vaccines, antisera and blood products, and medical protective consumables (surgical gloves). Not included, such as: routine medicines (medicaments), medical, surgical and dental instruments and appliances (such as syringes), diagnostic reagents, X-ray and other imaging equipment and orthopedic goods, because they are inputs to the health system, not the "systems and assets" of 42 U.S.C. § 5195c(e)
S-INF7	Products such as (not exhaustive): banking and finance: automatic teller machines, banknote and coin handling and counting machines, payment-card equipment. Not included, such as: cash registers
N, neither	
N	None of the rules above applies. Typical N sectors: foods, beverages and tobacco; textiles, clothing and footwear; wood, paper and furniture; ordinary chemicals, fertilizers, plastics and rubber goods; household goods, toys, musical instruments and sporting goods (other than arms); ordinary vehicles for road transport; construction materials; general-purpose machinery, tools and hardware; ordinary electrical appliances; consumer electronics.

B.9 Security Test: Four Alternative Lists

Because Section 301 tariffs may reflect security motives rather than comparative advantage, I test whether the main interaction is driven by security-related products.

First, I use the European Commission's dual-use correlation table (13 April 2021 edition) (European Commission 2026), which links 10-digit EU customs codes to the control codes in Annex I of the EU dual-use regulation, and convert its codes to HS6 through an HS concordance (704 products). The USML and CCL mappings are our own coding rules based on product descriptions, since no official crosswalk to HS6 exists.

I link HS6 products to four U.S. government lists. For the U.S. Munitions List (USML; 22 C.F.R. § 121.1), I read each HS6 product description against the 2017 USML categories and flag products for weapons, firearms, ammunition, military goods, and nuclear materials (21 products). For the Commerce Control List (CCL; 15 C.F.R. Part 774, Supp. No. 1), I flag products whose description corresponds to an item type named in a 2017 CCL entry, such as sporting shotguns and sights, detonators, aircraft and engines, machine tools, and controlled electronics and telecommunications equipment (155 products). For the U.S. Geological Survey (USGS) 2022 List of Critical Minerals, we match each listed mineral by name to the HS four-digit headings that cover it and flag every HS6 product in those headings (68 products). For the Critical Manufacturing Sector of the Cybersecurity and Infrastructure Security Agency (CISA), we take its industries (NAICS 331, 333, 335, and 336) and convert them to HS6 through the NAICS-to-HS concordance (1,259 products).

Table 16 re-estimates the main specification after dropping the products tied to each list, then all four together, and, in the last column, keeps all products and adds an indicator for membership in any list. The interaction between stable comparative advantage and MIC2025 remains positive and similar in size across all specifications. These results indicate that security-related products do not account for the relationship between comparative advantage and Section 301 targeting.

Table 16: Robustness to Security-Related Product Lists

	(1) Baseline	(2) Drop EU	(3) Drop USML	(4) Drop CCL	(5) Drop USGS	(6) Drop CISA	(7) Drop all four	(8) Control: any list
Stable CA × MIC2025	0.147***	0.104**	0.147***	0.132***	0.145***	0.130**	0.111*	0.147***
	(0.040)	(0.047)	(0.040)	(0.042)	(0.040)	(0.063)	(0.067)	(0.040)
Stable CA	-0.010	-0.014	-0.010	-0.011	-0.008	0.006	0.006	-0.010
	(0.016)	(0.015)	(0.016)	(0.015)	(0.016)	(0.017)	(0.017)	(0.016)
MIC2025	0.286***	0.213***	0.281***	0.263***	0.285***	0.241***	0.183***	0.286***
	(0.040)	(0.040)	(0.041)	(0.040)	(0.040)	(0.070)	(0.063)	(0.041)
Four list dummy								0.0004
								(0.023)
Log trade size	0.005	0.004	0.006	0.006	0.005	0.001	0.002	0.005
	(0.005)	(0.005)	(0.005)	(0.005)	(0.005)	(0.004)	(0.004)	(0.005)
Import penetration	-0.021	-0.208*	-0.021	-0.025	-0.021	-0.092	-0.132	-0.021
	(0.057)	(0.110)	(0.057)	(0.110)	(0.057)	(0.136)	(0.096)	(0.057)
China import share	-0.210***	-0.151***	-0.212***	-0.197***	-0.215***	-0.107***	-0.108***	-0.210***
	(0.042)	(0.039)	(0.042)	(0.040)	(0.043)	(0.033)	(0.031)	(0.042)
China RCA	-0.003	-0.004	-0.003	-0.0003	-0.003	-0.001	0.0005	-0.003
	(0.005)	(0.005)	(0.005)	(0.005)	(0.005)	(0.004)	(0.004)	(0.005)
Log US exports to China	0.025***	0.020***	0.024***	0.025***	0.026***	0.023***	0.023***	0.025***
	(0.005)	(0.005)	(0.005)	(0.005)	(0.005)	(0.005)	(0.005)	(0.005)
Intermediate good	-0.186***	-0.241***	-0.191***	-0.180***	-0.186***	-0.102*	-0.128**	-0.186***
	(0.040)	(0.045)	(0.041)	(0.040)	(0.040)	(0.056)	(0.053)	(0.040)
Consumer good	-0.220***	-0.258***	-0.225***	-0.212***	-0.218***	-0.143***	-0.163***	-0.220***
	(0.040)	(0.043)	(0.041)	(0.040)	(0.040)	(0.055)	(0.052)	(0.040)
Log value added	-0.036**	-0.021	-0.036**	-0.027*	-0.037**	-0.019	-0.013	-0.036**
	(0.015)	(0.014)	(0.015)	(0.015)	(0.015)	(0.014)	(0.013)	(0.015)
Log employment	0.061**	0.041*	0.061**	0.049*	0.061**	0.067**	0.063*	0.061**
	(0.025)	(0.025)	(0.026)	(0.026)	(0.026)	(0.034)	(0.034)	(0.026)
Constant	0.164	0.189**	0.164	0.112	0.175*	-0.047	-0.064	0.164
	(0.103)	(0.094)	(0.103)	(0.097)	(0.104)	(0.124)	(0.120)	(0.103)
Observations	4,023	3,325	4,002	3,868	3,956	2,805	2,699	4,023
R^2	0.435	0.367	0.435	0.396	0.434	0.286	0.236	0.435

Notes: Dependent variable: Section 301 List 1/2 targeted (linear probability model). Standard errors clustered by HS4 in parentheses. $^{*}p < 0.1$, $^{**}p < 0.05$, $^{***}p < 0.01$.

B.10 Interest-group Lobby

One may be concerned that the stable_adv × MIC2025 interaction reflects organized-interest lobbying rather than economic competition (Table 17). I test this with two lobbying measures and one petitioning measure. First, using firm-level lobbying data from LobbyView (matched via NAICS6, 2015-2017 filings): within MIC2025, stable-CA products are associated with

significantly higher lobbying expenditure (coefficient: 1.29, $p < 0.01$), though not with a greater number of lobbying firms (0.10, not significant) – suggesting a small number of well-resourced firms, not broader organizational mobilization, drives this difference. Neither measure explains the Section 301 targeting interaction: it is essentially unchanged after controlling for lobbying expenditure interacted with MIC2025 (0.147 to 0.133, both $p < 0.001$) or lobbying firm count interacted with MIC2025 (0.147 to 0.155, both $p < 0.001$).

Table 17: Lobbying and Exclusion Petitions: Within-MIC2025 Effects and Robustness

Channel	Within-MIC2025 stable_adv effect	Targeting interaction, baseline vs. controlled
Lobbying expenditure (log $)	1.293 (0.494)**	0.147 (0.040)*** vs. 0.133 (0.040)***
Lobbying firm count (log)	0.096 (0.063)	0.147 (0.040)*** vs. 0.155 (0.039)***

Note: SEs clustered at HS4. $^{*}p < 0.05$, $^{**}p < 0.01$, $^{***}p < 0.001$.

Political Targeting

Fajgelbaum et al. (2020) finds that the 2018 US tariffs, pooled across Section 232 and 301 actions, provided the most protection to counties with a 40-60 percent Republican vote share in 2016, an inverted U they read as suggestive of electoral targeting. This raises the question of whether the main result reflects swing-area politics rather than threatened advantage. I construct two sector-level electoral exposure measures from 2016 Census County Business Patterns county-by-industry payroll and MIT Election Data and Science Lab 2016 county presidential returns, aggregated to NAICS-4 and matched to HS-6 through the same concordance used for the productivity controls.[35] The first is the payroll-weighted mean county Republican vote share, which captures partisan lean. The second is the share of the industry's payroll located in counties inside the 40-60 percent band, which captures swing state lean.

[35]For industry s with producing counties R_s, payroll $w_{sr}L_{sr}$ in county r, and county Republican vote share V_r: $\text{Lean}_s = \sum_{r \in R_s} \omega_{sr} V_r$ and $\text{Swing}_s = \sum_{r \in R_s} \omega_{sr} \mathbf{1}[0.40 \leq V_r \leq 0.60]$, where $\omega_{sr} = w_{sr}L_{sr} / \sum_{r' \in R_s} w_{sr'}L_{sr'}$. Fajgelbaum et al. aggregate sector tariffs up to counties; we aggregate county vote shares up to sectors. One HS-6 code may match several NAICS-4 codes; values are averaged across matches.

Table 18 adds both measures to the full specification. Both electoral interactions are positive and marginally significant, so electoral considerations did shape which MIC 2025 products were hit. The Stable CA × MIC 2025 coefficient nonetheless remains large and precisely estimated (0.181 versus 0.200 at baseline). Threatened advantage and electoral targeting are distinct channels, and the former does not operate through the latter.

Table 18: Robustness: Partisanship Exposure

	(1) Baseline	(2) + Electoral levels	(3) + Electoral × MIC 2025
Stable CA	−0.033***	−0.034***	−0.031***
	(0.008)	(0.008)	(0.008)
Stable CA × MIC 2025	0.200***	0.194***	0.181***
	(0.031)	(0.031)	(0.031)
County GOP vote share (lean)		0.347***	−0.042
		(0.085)	(0.040)
Swing-county payroll share		0.140***	−0.110***
		(0.045)	(0.029)
County GOP vote share × MIC 2025			0.891**
			(0.444)
Swing-county payroll share × MIC 2025			0.368**
			(0.187)
Chapter FE	Yes	Yes	Yes
Full controls	Yes	Yes	Yes
N	4,023	4,023	4,023
R^2	0.560	0.564	0.569

Notes: LPM with HS-2 chapter fixed effects and HC1 robust standard errors in parentheses. $^{*}p < 0.10$, $^{**}p < 0.05$, $^{***}p < 0.01$.

B.11 Placebo Tests

Two concerns remain about the StableCA×MIC2025 interaction: whether the same pattern would appear for U.S. policy instruments unrelated to comparative-advantage defense, and whether StableCA×MIC2025 products were already unusually protected before MIC2025 or Section 301 existed. Table 19 reports five placebo tests addressing both.

The first three test instrument specificity, using the same interaction and controls with the dependent variable replaced by a different U.S. trade or industrial policy: the Biden CHIPS Act (rebuilding *lost* comparative advantage in semiconductors), the Biden IRA clean-energy subsidies (creating *new* comparative advantage in EVs, batteries, and wind, where the U.S. had none), and the Trump Section 232 steel/aluminum tariffs (a security rationale

unrelated to comparative-advantage defense; StableCA alone is tested here since its chapters are disjoint from MIC2025's). All three come back null or negative on the relevant coefficient.

The remaining two are pre-trend placebos, testing whether StableCA×MIC2025 products were already unusually protected before either MIC2025 (2015) or Section 301 (2018) existed. Column (5) uses the U.S. MFN applied tariff rate in 2016 (WITS/TRAINS, World Bank); column (6) uses an indicator for an active U.S. antidumping or countervailing duty order initiated 2009-2016 and still in force as of 2016 from the Temporary Trade Barriers Database (Bown 2016), a sharper test since AD/CVD orders are targeted, product-specific trade remedies rather than a general tariff schedule. Both interactions are null: 0.015 ($p = 0.95$) for the pre-existing MFN tariff level, and 0.009 ($p = 0.43$) for pre-existing AD/CVD status. StableCA×MIC2025 products were not already unusually protected under either measure before Section 301 – the 2018 targeting pattern is not a continuation of pre-existing U.S. trade protection toward these products.

Table 19: Instrument Specificity and Pre-Trend Placebo Tests

	CHIPS (Biden)	IRA (Biden)	Sec 232 (Trump)	Pre-2016 MFN	Pre-2016 AD/CVD
Stable CA	−0.003*	−0.003***	−0.081***	−0.106	−0.020***
	(0.002)	(0.001)	(0.009)	(0.123)	(0.007)
Stable CA × MIC 2025	0.008	0.010		0.015	0.009
	(0.010)	(0.012)		(0.229)	(0.011)
Log US export value	0.000	0.002*	0.006*	0.254***	0.011***
	(0.001)	(0.001)	(0.003)	(0.062)	(0.002)
Import penetration	0.078	0.004	−0.030	−0.425	0.018
	(0.070)	(0.025)	(0.026)	(0.423)	(0.032)
Log value-added	0.016***	−0.005	0.031***	−0.964***	0.008
	(0.004)	(0.006)	(0.007)	(0.211)	(0.010)
Log employment	0.005**	0.007	0.155***	0.696***	−0.001
	(0.003)	(0.006)	(0.011)	(0.217)	(0.011)
China import share	−0.009*	−0.007	0.264***	−2.209***	0.076***
	(0.005)	(0.009)	(0.039)	(0.699)	(0.028)
China RCA	0.002*	−0.002	−0.030***	0.456***	−0.006**
	(0.001)	(0.001)	(0.004)	(0.094)	(0.003)
Log US–China exports	0.002***	0.000	−0.005**	−0.205***	−0.003
	(0.001)	(0.001)	(0.003)	(0.049)	(0.002)
Intermediate good	0.033***	−0.049***	0.083***	−0.099	0.013
	(0.008)	(0.011)	(0.009)	(0.163)	(0.010)
Consumer good	0.021***	−0.049***	−0.015	−0.468**	−0.011
	(0.005)	(0.011)	(0.010)	(0.221)	(0.011)
N	4023	4023	4023	3712	4023
R^2	0.088	0.118	0.180	0.531	0.092
DV logic	Security	Climate	Security	Pre-2016	Pre-2016
Controls	Yes	Yes	Yes[a]	Yes	Yes
Stable CA × MIC 2025	Yes	Yes	No[b]	Yes	Yes
Chapter FE	Yes	Yes	No[a]	Yes	Yes

* $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

[a] Chapter FE omitted for Sec. 232 because the DV spans entire HS-2 chapters (72, 73, 76), making chapter intercepts collinear with the dependent variable.

[b] MIC 2025 interaction omitted for Sec. 232 because its chapters (72, 73, 76) are disjoint from MIC 2025 chapters (84–90, 30), so the two conditions never co-occur; Stable CA alone is tested instead.

C Discourse Analysis

C.1 LLM-based result: regression

Table 20 compares the 2016-and-later period against the 2001-2008, the period of lowest MIC2025 salience in the 1981-2024 sample. The unit of observation is the sector mention, and the quantity of interest is average attention across all named-sector mentions. MIC2025 indicates the ten categories on China's published list; Disadvantage indicates steel or textiles, chosen as a comparison group because both had mean 2001-2007 RCA well below one — genuine comparative disadvantage.

Subset	N	MIC2025 Δ (p)	Disadvantage Δ (p)
All speeches	1,208	$+0.077^{\dagger}$ (0.056)	-0.070^{**} (0.008)
Decline concern	683	$+0.251^{***}$ (0.0001)	-0.136^{***} (0.0004)
Security framing	233	$+0.251^{**}$ (0.002)	-0.122^{**} (0.002)
Criticizes free trade	857	$+0.148^{**}$ (0.004)	-0.073^{*} (0.049)
China mentioned	456	$+0.099^{\dagger}$ (0.072)	-0.113^{**} (0.003)
Calls for protection	947	$+0.108^{*}$ (0.022)	-0.098^{**} (0.001)

Table 20: MIC2025 and Comparative-Disadvantage Sector Share: 2016+ vs. 2001-2008. *Note:* Coefficients are the post-2015 shift in each mention's share of MIC2025 or disadvantage sectors, 2016+ vs. the 2001-2008 trough; p-values in parentheses. N = sector mentions in the two periods combined. $^{*}p < 0.05$, $^{**}p < 0.01$, $^{***}p < 0.001$.

Table 21: Top 20 Sectors by Mention Count, by Classification

Advantage		Disadvantage		Neither	
Sector	*n*	Sector	*n*	Sector	*n*
automobile	413	steel	370	agriculture	224
pharmaceuticals	97	textile	311	manufacturing	190
aerospace	93	footwear	126	agricultural	93
information technology	89	apparel	82	lumber	84
electronics	80	textile and apparel	77	oil	72
telecommunications	76	glass	27	wheat	68
semiconductors	74	furniture	22	sugar	67
computers	72	leather	15	beef	57
machine tools	69	toys	12	farmers	44
power equipment	48	bicycles	8	soybeans	41
auto parts	45			services	40
medical equipment	40			dairy	39
maritime	30			corn	29
transportation equipment	18			citrus	25
agricultural machinery	12			pork	23
supercomputers	11			potato	20
railroad	7			tobacco	20
microelectronics	5			grain	19
new materials	3			aluminum	17
satellites	2			coal	16

C.2 Additional STM results

Figure 11 shows topic proportions for the China-trade corpus binned across five periods. The composition shifts markedly: MFN status, tied to the annual most-favored-nation renewal debates and their human-rights conditionality, dominates in 1981-1991 and collapses to near zero by 2009-2015, consistent with PNTR ending the annual renewal ritual in 2000; Human rights follows the same decline. In their place, trade shocks/deindustrialization and Unfair trade/mercantilism rise from a combined quarter of topic share in 1981-1991 to over 70% by 2009-2015, remaining high through 2016-2024.

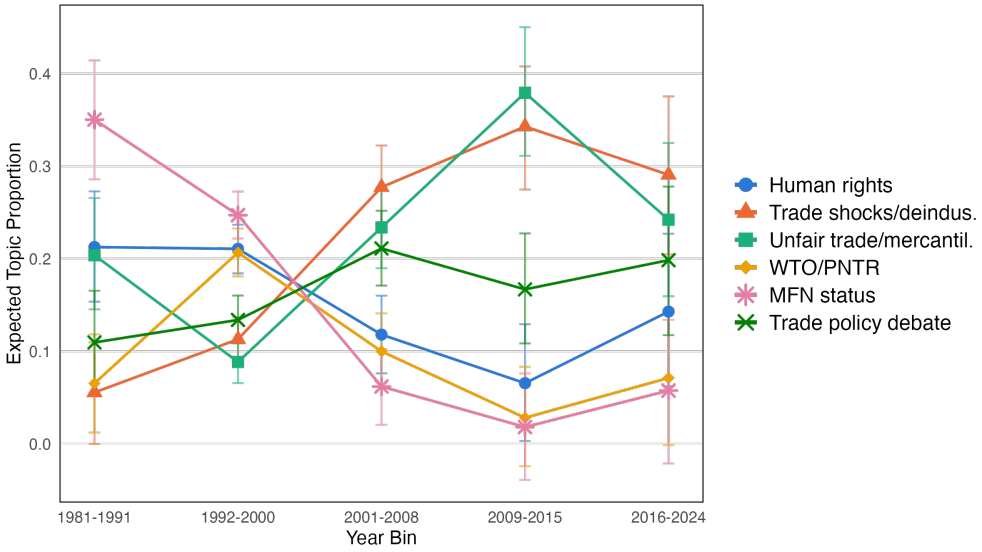


Figure 11: Trade Topic Trends: Trading with China (1981-2024).

C.3 Congressional Speech Examples

Speaker	Year	Content
Rohrabacher (R-CA)	2010	"Well. if we permit them to launch our satellites on their rockets. we will be undercutting our own rocket industry. You can kiss our aerospace industry goodbye. If our major companies like Boeing and GE start outsourcing aircraft..."
Kucinich (D-H)	2010	"We cannot have a strong American economy without a strong industrial manufacturing sector that includes not only the steel industry. but also the auto. shipping and aerospace industries..."
Defazio (D-OR)	2011	"...the Korea Free Trade Agreement will cost us 160.000 jobs. Byebye to the last vestiges of the auto parts industry..."
Sutton (D-OH)	2011	"...This raw deal would be particularly bad for my district and districts around the country that support our domestic auto industry, auto suppliers and parts makers..."
Schumer (D-NY)	2011	"in this Nation where we once built the armaments of the world. where we once built the cars of the world. where we once built the great earthmovers. in this Nation that once was the strongest manufacturing Nation in the world. we have lost half of the manufacturing jobs."
Garamendi (D-CA)	2011	"But in the Recovery Act theres money for highspeed rail and a provision that says that this money can only be spent on equipment manufactured in America. Good. Wonderful. Thats the kind of law we need. We need to support American manufacturers. Now. they dont build highspeed rail systems in America."
Garamendi (D-CA)	2014	"The hightech industry. the automotive industry is coming back. and indeed. for a variety of reasons. some of it had to do with on our legislative agenda. We are seeing the revival of the American manufacturing sector. Good. wonderful. That is where the middle class jobs will largely come from."
Sanders (I-VT)	2015	"Today. there are nearly 200 electronics factories in Malaysia where hightech products from Apple. Dell. Intel. Motorola. and Texas Instruments are manufactured and brought back to the United States. If the TPP is approved. that number will go up substantially."
Stabenow (D-MI)	2015	"...the issue of currency manipulation affects every part of the economy–agriculture, medicines, and every part of the economy. All we are saying is to give us a shot here. Give American manufacturers and workers a shot..."
Hatch (R-UT)	2015	"The tech companies–these are America's moviemakers, software developers, computer manufacturers, the people who drive America's innovation–understand that promoting American trade requires protecting American intellectual property."
Kaptur (D-OH)	2017	"The Rules of Origin for autos and auto parts should be beefed up. The "regional value content" should be raised and all loopholes closed. "
Portman (R-OH)	2018	"...China tilts the playing field against American firms, innovators, and workers and gets the technology they need to leapfrog the competition."
Schumer (D-NY)	2019	"...an Executive order laying the groundwork to ban the purchase of telecommunications equipment from China's state-controlled firms. The decision, as I said, is having an impact because of Google. We are waiting for other companies to join in."
Rubio (R-FL)	2023	"...the targets of the Made in China 2025 initiative reveal the goal of the People's Republic of China for the near-total displacement of advanced manufacturing in the United States."

Table 22: Illustrative Congressional Concerns over Trade

C.4 Within-Person Speech Shift in Congress

The main results pool across all legislators speaking in each period, so the comparison could reflect turnover rather than individuals actually changing what they discuss. I test this with a within-person design. I identify same speakers and within this panel, I test whether named-sector composition shifted toward MIC 2025 categories: `is_mic2025 ~ post_2015 | speaker`, clustered by speech. I repeat this within each of the paper's five rhetorical-frame subsets, restricted to speakers matched on that frame specifically.

Table 23 reports the results. Three frames show a positive shift of similar size, increasingly targeted MIC2025-listed industries.

Table 23: Within-Person Attention Shift Toward MIC2025 Sectors

Frame	Speakers	N (mentions)	post_2015
Industrial decline concern	8	162	0.279**
Security framing	6	31	0.249*
Criticizes free trade	11	227	0.234**

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$
Note: Speaker fixed-effects LPM: `is_mic2025 ~ post_2015 |` speaker, SEs clustered by speech (uid).

C.5 USTR President's Trade Policy Agenda

I closely read 27 annual USTR President's Trade Policy Agendas (2000-2026), systematically examining three dimensions: confidence in existing trade openness, perceptions of U.S. competitive advantages and emerging threats, and preferred policy responses. I traced changes across administrations, identified key turning points, and extracted contemporaneous quotations to substantiate the observed patterns.

Table 24: U.S. Trade Policy Agendas, 2000–2026: Annual Assessments and Documentary Evidence

Year	Confidence / Advantage / Policy
2000	**Confidence:** Strong confidence in rules-based globalization. *"a strong and confident trade policy premised upon open markets under the rule of law." (p. 16)* **Advantage:** U.S. leadership in technology and services was expected to benefit from openness. *"Through landmark agreements on Information Technology Products, Basic Telecommunications, and Financial Services, as well as the electronic commerce 'duty-free cyberspace' commitment WTO members made in 1998, we have opened markets and preserved freedoms in areas where the United States is the world's most competitive nation, helping to spur investment, reduce costs to consumers and foster technological advance." (pp. 19–20)* **Policy:** Advance China's WTO integration and expand market access. *"our top trade policy priority is the completion of China's WTO accession" (p. 22)*
2001	**Confidence:** Strong confidence in liberalization despite concerns about domestic support. *"we must build a new consensus to promote open markets for trade in the decades to come." (p. 1)* **Advantage:** Openness was expected to strengthen American business competitiveness. *"Trade also leads to more competitive businesses, more choices of goods and inputs, and lower prices." (p. 2)* **Policy:** Expand trade while maintaining enforcement and adjustment assistance. *"we must enforce, vigorously and with dispatch, our trade laws" (p. 2)*
2002	**Confidence:** Strong confidence that further liberalization would benefit the United States. *"Our goal is to ignite a new era of global economic growth through a world trading system that is dramatically more open and more free." (p. 1)* **Advantage:** The administration saw technology and other advanced services as export priorities, though the earlier quotation only listed sectors involved in trade disputes. *"the pursuit of open markets in a number of key sectors for the United States, including telecommunications, financial services, audio-visual, express delivery, and other distribution services." (p. 3)* **Policy:** Pursue liberalization, adjustment assistance, and selective safeguards. *"For all of its benefits, trade can also lead to adjustment challenges." (p. 1)*

Continued on next page

Table 24 continued

Year	Confidence / Advantage / Policy
2003	**Confidence:** Strong confidence in expanding openness. *"Over the past year President Bush and his Administration have restored America's leadership on trade and are now pressing aggressively to secure the benefits of open markets for American families, farmers, manufacturers, workers, consumers, and businesses." (p. 1)* **Advantage:** American producers were expected to gain from greater foreign market access. *"open new markets for American exporters while expanding choice and value for American consumers." (p. 1)* **Policy:** Negotiate new trade agreements and enforce WTO commitments. *"enforcing U.S. trade laws; and monitoring and pressing China's and Taiwan's compliance with their WTO obligations." (p. 1)*
2004	**Confidence:** Strong endorsement of free trade as economically beneficial. *"Free trade creates higher-paying jobs for American workers, more choices and lower prices for hardworking families." (p. 1)* **Advantage:** American competitiveness was expected to improve through market access and fair treatment. *"an approach that will meet our WTO obligations and promote the competitiveness of U.S. industry." (p. 6)* **Policy:** Expand liberalization while resolving disputes through existing agreements. *"resolve favorably other trade disputes in a way that ensures a level playing field for America's interests." (p. 6)*
2005	**Confidence:** Strong confidence in the WTO and existing multilateral arrangements. *"continued engagement in the global trading system is vital for America." (p. 1)* **Advantage:** Innovation-intensive industries were viewed as beneficiaries of international trade rules. *"U.S. efforts in the WTO have extended a system of trade rules globally that protect innovation, provide for certainty and predictability, and form the vital legal infrastructure for enforcement." (p. 1)* **Policy:** Combine liberalization with more rigorous enforcement. *"legal resources devoted to enforcement have increased significantly. Enforcement is a critical part of every aspect of USTR's operations." (p. 1)*
2006	**Confidence:** Strong confidence in openness despite growing concerns about China. *"Free markets and open trade have helped make the American miracle possible and have spurred economic growth throughout the world." (p. 1)* **Advantage:** Advanced, high-value U.S. industries were explicitly expected to prosper internationally. *"the United States has a competitive advantage in many of the state-of-the-art, value-added products and services that the rest of the world needs." (p. 1)* **Policy:** Expand market access while strengthening monitoring and enforcement. *"better monitoring of China's trade practices, greater efforts to assist the Chinese government to step up its enforcement and compliance efforts" (p. 12)*

Continued on next page

Table 24 continued

Year	Confidence / Advantage / Policy
2007	**Confidence:** Strong confidence in continued liberalization. *"the United States, which is one of the most open markets in the world, also has among the strongest economies and highest living standards." (p. 1)* **Advantage:** The administration continued to regard the United States as a leader in innovation; the 2007 agenda does not clearly identify China as eroding U.S. advantages. *"From wages to productivity to innovation, the United States leads. Americans' prosperity increased while the United States helped bring the economic benefits of trade to more and more countries, demonstrating that trade expands the economic pie for all." (p. 1)* **Policy:** Strengthen IP protection and use dispute settlement where necessary. *"pursuing formal dispute settlement when dialogue and negotiation fail." (p. 13)*
2008	**Confidence:** Confidence in openness remained strong but increasingly depended on effective enforcement. *"The Administration believes the United States can compete in any market so long as the rules of international trade are effectively enforced." (p. 20)* **Advantage:** The administration identified Chinese efforts to cultivate national champions and homegrown technologies as distortions threatening fair competition, without explicitly asserting that U.S. comparative advantages had already eroded. *"China continues to use its regulatory and other policies to develop so-called 'national champions' in some sectors and tilt the playing field against foreign competitors." (p. 11)* **Policy:** Challenge distortions through WTO litigation rather than abandon the trading system. *"These cases demonstrate the Administration's resolve not only to discuss issues with China but also to use all available tools to enforce the rules." (p. 10)*
2009	**Confidence:** Support for openness continued, with greater attention to its distributional consequences. *"Open world markets can incentivize people and capital to move from less productive to more productive jobs and uses." (p. 2)* **Advantage:** American innovation remained an important source of competitiveness requiring protection. *"We will protect American innovations and creativity by negotiating and enforcing strong and effective intellectual property protections." (p. 4)* **Policy:** Review agreements, strengthen IP protection, and improve adjustment policies. *"We shall also review the implementation of our FTAs and bilateral investment treaties (BITs) to ensure that they advance the public interest." (p. 4)*

Continued on next page

Table 24 continued

Year	Confidence / Advantage / Policy
2010	**Confidence:** Continued confidence in rules-based openness, increasingly emphasizing the conditions for its benefits. *"the U.S. commitment to the rules-based global trading system" (p. 1)* **Advantage:** Foreign IP violations were explicitly identified as threats to established U.S. comparative advantages. *"Insufficient protection of intellectual property rights undermines key U.S. comparative advantages in innovation and creativity, to the detriment of American businesses and workers." (p. 9)* **Policy:** Negotiate and enforce stronger intellectual-property rules. *"we will protect American inventiveness and creativity with all the tools of trade policy." (p. 9)*
2011	**Confidence:** Continued support for openness alongside growing concern about unfair competition. *"Two-way trade is essential to American economic growth and success." (p. 1)* **Advantage:** IP theft and discriminatory Chinese innovation policies were portrayed as eroding competitive advantages. *"the competitive advantage of those American workers is eroded when piracy, counterfeiting, and other intellectual property theft threaten American brand-name products" (p. 10)* **Policy:** Protect innovation through enforcement, negotiation, and anti-counterfeiting cooperation. *"Administration efforts to oppose problematic aspects of China's 'indigenous innovation' policies are also helping to protect U.S. intellectual property, technology, and jobs." (p. 11)*
2012	**Confidence:** Confidence in the trading system persisted, but enforcement became a central priority. *"strengthen the rules-based international trading system" (p. 1)* **Advantage:** USTR identified IT as a major U.S. competitive strength and sought stronger rules against discriminatory indigenous-innovation policies; the text does not establish industry-level loss of advantage. *"Among the United States' most internationally competitive IP-intensive industries are those related to information technology (IT) products." (p. 9) The agenda also seeks to end discriminatory "indigenous innovation" policies affecting U.S. technology in China (China section, p. 15).* **Policy:** Establish ITEC and challenge discriminatory Chinese innovation policies. *"we will deploy a new Interagency Trade Enforcement Center (ITEC)." (p. 11)*

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Table 24 continued

Year	Confidence / Advantage / Policy
2013	**Confidence:** Strong support for liberalization, accompanied by increased emphasis on enforcement. *"the most efficient and productive pathways for trade liberalization in order to support greater economic growth and jobs" (p. 1)* **Advantage:** IP-intensive industries were explicitly identified as a source of national competitiveness. *"Intellectual property (IP) is a key source of American jobs, competitiveness, and prosperity." (p. 8)* **Policy:** Place enforcement on equal footing with market opening. *"President Obama has elevated trade enforcement on par with market-opening efforts as a top priority for U.S. trade policy." (p. 10)*
2014	**Confidence:** Continued support for liberalization, conditional on effective rules for fair competition. *"continuing American leadership in negotiating high standard agreements that help U.S. exporters gain access to billions of customers" (p. 1)* **Advantage:** The administration expressly identified innovation as a U.S. comparative advantage and linked protection of U.S. IP to threatened American jobs. *"To complement our national strengths and capitalize on America's comparative advantage in innovation" (p. 1); "the United States will aggressively defend millions of American jobs threatened by the wholesale theft of U.S. intellectual property." (p. 5)* **Policy:** Defend innovative industries through enforcement and stronger trade provisions. *"the United States will aggressively defend millions of American jobs threatened by the wholesale theft of U.S. intellectual property." (p. 5)*
2015	**Confidence:** Openness remained desirable, but stronger rules were emphasized as necessary to secure its benefits. *"Trade policy done right – through proactive enforcement of existing agreements and the negotiation of new, high standard agreements" (p. 1)* **Advantage:** Innovation was identified as an American competitive advantage; IP theft was presented as a threat to American jobs and the returns to that advantage. *"the Obama Administration will continue to work towards strengthening America's competitive advantage in innovation." (p. 8); "As we work to open new markets to innovations from American firms, the U.S. will aggressively defend millions of American jobs threatened by the wholesale theft of U.S. intellectual property." (p. 9)* **Policy:** Use Special 301, WTO enforcement, and new agreements to protect innovation. *"the U.S. will aggressively defend millions of American jobs threatened by the wholesale theft of U.S. intellectual property." (p. 9)*

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Table 24 continued

Year	Confidence / Advantage / Policy
2016	**Confidence:** Continued support for rules-based openness and TPP, alongside increasingly forceful enforcement. *"The WTO remains the critical forum for strengthening the multilateral rules-based trading system." (p. 26)* **Advantage:** The administration identified U.S. leadership in advanced IP-intensive industries and warned that foreign IP practices undermined their ability to compete. *"America's world leadership in industries, such as entertainment, software, Internet, IT manufacturing and design, aerospace, pharmaceuticals, and medical devices" (p. 24); "specific IP challenges in other markets that undermine . . . the ability of our IP-intensive industries to compete on a level playing field" (p. 25)* **Policy:** Strengthen rules through new agreements and intensify enforcement against foreign distortions. *"We will use all appropriate trade policy tools – bilateral, plurilateral, and multilateral – to address key trade-related IP issues." (p. 25)*
2017	**Confidence:** Confidence in existing arrangements declined sharply, without rejecting free trade in principle. *"The American people grew frustrated with our prior trade policy not because they have ceased to believe in free trade and open markets." (p. 1)* **Advantage:** Manufacturing and economic capabilities were portrayed as requiring stronger protection. *"strengthen our manufacturing base and our ability to defend ourselves" (p. 1)* **Policy:** Renegotiate agreements, prioritize reciprocity, and intensify enforcement. *"renegotiating and revising trade agreements when our goals are not being met" (p. 1)*
2018	**Confidence:** Existing trade arrangements were portrayed as inadequate and disadvantageous. *"the United States continued to passively adhere to outdated and underperforming trade deals and allowed international bureaucracies to undermine U.S. interests." (p. 1)* **Advantage:** Chinese technology-transfer practices were seen as threatening American innovation and leadership. *"protect our economy from competitors who unfairly acquire our intellectual property" (p. 4)* **Policy:** Adopt unilateral measures, tariffs, and agreement renegotiation. *"the Trump Administration self-initiated a Section 301 investigation into another country's unfair trading practices" (p. 2)*

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Table 24 continued

Year	Confidence / Advantage / Policy
2019	**Confidence:** Skepticism toward prevailing arrangements persisted and was linked to perceived institutional failures. *"unfair trade practices and illegal government subsidies are punished" (p. 2)* **Advantage:** The administration explicitly argued that Chinese IP practices threatened American firms' technological competitive edge in global markets. *"Theft of U.S. intellectual property was also threatening American companies' technological competitive edge in global markets by denying fair returns for American intellectual property investment and discouraging reinvestment in future innovations." (p. 8)* **Policy:** Maintain restrictive measures and challenge deficiencies in multilateral remedies. *"the Administration will continue this work and take further steps" (p. 2)*
2020	**Confidence:** Earlier trade policies were portrayed as harmful to U.S. economic interests. *"those Americans most harmed by the failed policies of the last 25 years" (p. 1)* **Advantage:** Protecting American technological leadership became an explicit trade-policy objective. *"defend America's competitive advantage in technology and innovation" (p. 6)* **Policy:** Maintain tariffs and restructure trade relationships. *"The President confronted China's unfair trade policies and practices head-on and imposed substantial tariffs." (p. 1)*
2021	**Confidence:** Support for openness returned in qualified form, without restoring unconditional confidence in existing rules. *"Opening markets and reducing trade barriers are fundamental to any trade agenda." (p. 1)* **Advantage:** Domestic industrial capacity and innovation became central priorities. *"building a stronger industrial and innovation base so the future is made in America" (p. 1)* **Policy:** Strengthen enforcement, domestic investment, and supply-chain resilience. *"trade policy will encourage domestic investment and innovation and increase economic security for American families." (p. 1)*
2022	**Confidence:** Support for an open system coexisted with explicit criticism of its prevailing design. *"identify and rethink aspects of the existing trading system that incentivize or enable unfair competition" (p. 1)* **Advantage:** China's distorted advantages were portrayed as damaging American production and investment. *"China's artificial comparative advantage. It is an advantage that puts others out of business and violates any notion of fair competition." (p. 1)* **Policy:** Reform trade rules and counter nonmarket practices. *"the Biden Administration is realigning our trade policies towards China to defend the interests of America's workers and businesses." (p. 1)*

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Table 24 continued

Year	Confidence / Advantage / Policy
2023	**Confidence:** Qualified confidence in openness persisted, accompanied by calls for institutional modernization. *"We remain committed to upholding a fair and open global trading system." (p. 1)* **Advantage:** The administration argued that Chinese nonmarket policies could harm U.S. firms and undermine resilience, including in aerospace, rather than merely demanding fair competition in general. *"The United States and the EU are working to deepen their shared understanding of China's state-directed industrial targeting goals to more effectively defend our market-oriented aerospace workers, companies, and sector from the PRC's non-market economic policies and practices." (p. 12)* **Policy:** Update international trade rules and address nonmarket practices. *"forge the partnerships necessary to update and enforce the rules governing the global economy and trade." (p. 1)*
2024	**Confidence:** Support for openness remained conditional on fairness, sustainability, and resilience. *"We remain committed to a fair and open global trading system." (p. 1)* **Advantage:** The administration identified China's acquisition of industrial dominance and foreign technology as threats to fair competition and U.S. technological competitiveness. *"The PRC became a dominant supplier for many important goods and technologies by manipulating cost structures and controlling key industries." (p. 13); "it has used various, often illicit, means to secure foreign intellectual property and technology to pursue its industrial policy objectives." (p. 13)* **Policy:** Strengthen supply chains and revise trade rules. *"update the rules governing the global economy and trade" (pp. 1–2)*
2025	**Confidence:** Previous trade policies were blamed for industrial decline and economic vulnerability. *"policies—including trade policies—with the aim of enriching themselves at the expense of the working people" (p. 1)* **Advantage:** The relocation of manufacturing and innovation was portrayed as evidence of weakening competitive strength. *"much of our industrial might has moved overseas, and innovation has begun to follow." (p. 1)* **Policy:** Employ tariffs and negotiations to restore domestic production. *"tariffs are a legitimate tool of public policy." (p. 1)*

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Table 24 continued

Year	Confidence / Advantage / Policy
2026	**Confidence:** The administration rejected returning to earlier trade arrangements. *"For the last thirty years, U.S. trade policy has focused on debt-driven consumption divorced from domestic production." (p. 1)* **Advantage:** The administration retrospectively describes a breakdown of presumed U.S. advantages, citing trade deficits in advanced technology products and agriculture; this is not contemporaneous evidence of earlier elites' beliefs. *"But in 2002, the United States started running trade deficits in advanced technology products. . . . Not anymore. The United States ran significant trade deficits in agriculture in 2023 and 2024." (p. 1; ellipsis omits a full sentence)* **Policy:** Maintain reciprocal trade measures and reinforce domestic production. *"The United States should produce more of what it consumes." (p. 1)*

I coded all 27 annual chapters I ("The President's Trade Policy Agenda") of USTR's Trade Policy Agenda and Annual Report, 2000-2026, one whole chapter at a time, using the codebook in Table 26. For each code, the coder assigns a 0-3 salience score (0 absent, 1 appears briefly or incidentally, 2 meaningful discussion, 3 a principal theme or organizing justification) and one verbatim supporting quotation, reading only the codebook and the chapter and returning structured JSON. The main series uses GPT-5.4 at temperature 0. For robustness, I also coded the chapters with GPT-5.6 Luna (ten runs at default temperature), GPT-5.2 (temperature 0), GPT-4.1 (temperature 0), and Claude Opus 5 (default temperature). Figure 12 shows four of these coders side by side, with the Luna band a 90% t-interval across runs. I audited all 162 (27×6) scores: I read texts and hand-coded each chapter blind to model scores (alpha = 0.68 against GPT-5.4). Cross-model agreement varies by code. Taking T2 (confidence that existing openness is sufficient to serve U.S. interests) as an example, Krippendorff's ordinal alpha across the five coders is 0.67, and pairwise alphas range from 0.40 to 0.88 (Table 25); dropping any one coder changes the *overall* alpha by at most 0.06.

Table 25: Krippendorff's ordinal alpha for T2 (confidence in existing openness), 27 chapters

	GPT-5.4	GPT-5.6-Luna	GPT-5.2	Opus-5	GPT-4.1
GPT-5.4	1.00				
GPT-5.6-Luna	0.68	1.00			
GPT-5.2	0.40	0.61	1.00		
Opus-5	0.72	0.72	0.56	1.00	
GPT-4.1	0.72	0.73	0.53	0.88	1.00

Note: Luna is the median of its ten runs, rounded. Alpha across all five coders is 0.67; alpha across Luna's ten runs is 0.76.

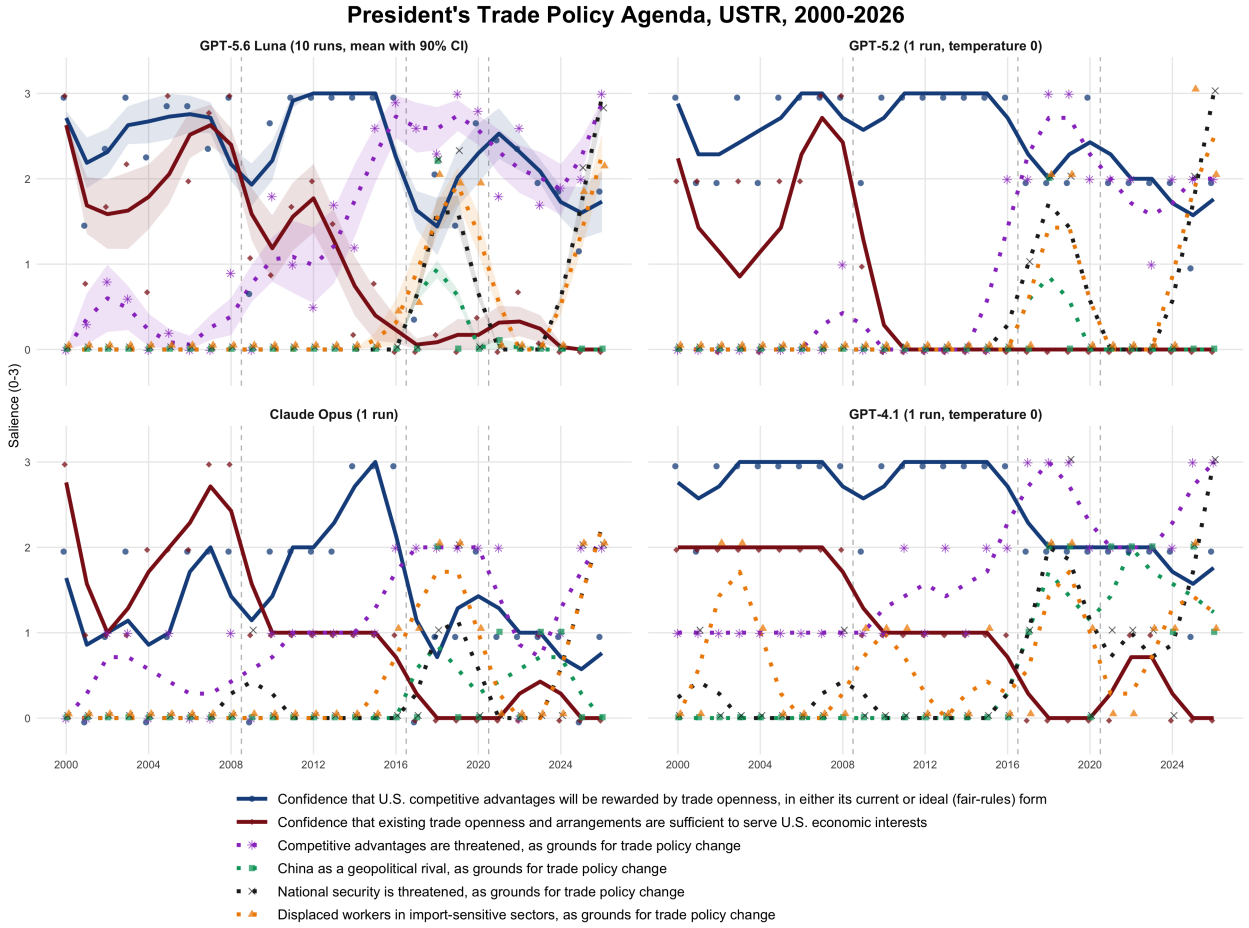


Figure 12: Coding Trade-related Salience in the President's Trade Policy Agenda, 2000-2026, by LLM. *Note:* Scores are 0-3 salience ratings (0 absent, 1 peripheral, 2 substantial, 3 central) for each annual chapter, coded with the codebook in Table 26. Dashed vertical lines mark changes of administration (2009, 2017, 2021).

Table 26: Codebook: dimensions, definitions and exclusions

Code	Dimension	Definition and exclusion
T1	Expected winners: advantaged U.S. sectors, firms or businesses expected to gain from openness	The administration states that U.S. sectors, firms or businesses that it describes as competitive, leading, innovative or advantaged (or as having a comparative advantage, or whose description implies U.S. competitiveness) will gain from, or can compete and win in, open markets and trade agreements, including when it says this depends on fair rules; the expectation must be stated, not inferred from reported trade volumes or outcomes. *Does not count:* general praise of trade, jobs, growth or consumer prices that makes no claim about advantaged sectors, firms or businesses gaining or winning, claims about U.S. businesses in general whose description neither calls them competitive or advantaged nor implies U.S. competitiveness, reports of past trade outcomes with no stated expectation, and goals or intentions ("we seek to", "our objective is").
T2	Confidence in existing openness	The administration states that status quo trade openness or trade arrangements are sufficient to serve U.S. economic interests; this is not free trade as an ideal. *Does not count:* descriptions of the United States as an open market, general, historical or ideal-case praise of trade (for example trade as a long-running success story) unless the text says the current arrangements are delivering those benefits now, commitments to an institution or to enforcing agreements, and promises to fix particular problems, unless the administration also says that the arrangements serve U.S. interests.
C1.1	Competitiveness threats as grounds for changing policy	The administration explicitly argues that, because industries in which the United States possesses established or expected competitive advantages are threatened or harmed by foreign competition or practices, existing trade arrangements are inadequate or trade policy must change; the passage must contain both the threat and the conclusion. *Does not count:* a threat described with no conclusion about arrangements or policy, a policy action or goal with no threat, support for an agreement or institution that does not rest on such a threat, and any restatement of this definition.
C1.2	China as geopolitical rivalry, as grounds for changing policy	The administration explicitly argues that, because China is a geopolitical or strategic rival or adversary (a challenge to U.S. power, security or strategic or technological leadership), existing trade arrangements are inadequate or trade policy toward China must change; the passage must contain both the rivalry and the conclusion. *Does not count:* China's economic competitiveness, unfair trade practices or market-access barriers without a stated strategic rivalry, rivalry described without naming China, a rivalry with no conclusion about arrangements or policy, and any restatement of this definition.

Code	Dimension	Definition and exclusion
C1.3	National security, as grounds for changing policy	The administration explicitly argues that, because trade, imports, foreign dependence or foreign investment threatens U.S. national security itself (military capability, the defense industrial base, critical infrastructure, supply of goods needed for defense, or sensitive technology or data), existing trade arrangements are inadequate or trade policy must change; the passage must contain both the security threat and the conclusion. *Does not count:* economic or technological decline presented as weakening security, alliances or foreign-policy influence, the rules-based order, regional security goals, supply-chain resilience or economic security with no explicit security threat, security statements quoted from other officials, a threat with no conclusion about arrangements or policy, and any restatement of this definition.
C1.4	Displaced workers in disadvantaged sectors, as grounds for changing policy	The administration explicitly argues that, because workers and communities in import-sensitive, declining or disadvantaged industries (for example steel, textiles or other lower-end sectors) have lost jobs or income to trade, existing trade arrangements are inadequate or trade policy must change; the passage must contain both the displacement and the conclusion. *Does not count:* workers presented as beneficiaries of exports and agreements, adjustment assistance with no call to change trade policy, harm to industries with competitive advantages (see T6.1), job loss described with no conclusion about arrangements or policy, and any restatement of this definition.